

General Risk Management

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15.1 Introduction

The crown jewel in the DSA's regulatory toolbox is the obligation of very large online platforms (VLOPs) and very large online search engines (VLOSEs) to generally manage risks on their services. The mechanism goes against Zuckerberg's mantra: 'move fast and break things',¹ and pushes Big Tech towards an 'innovate but validate' culture. With general risk management, the EU legislature has signalled that it is no longer acceptable to optimise the design of services at the expense of everyone else to achieve the fastest possible growth and profit. During the legislative negotiations, the European Commission was given exclusive competence to supervise this crucial special obligation (Chapter 19).

Articles 34–35 are an attempt to regulate technology firms through a regulatory dialogue. General risk management is by far the most open-ended DSA provision. It foresees continuous back-and-forth between designated providers, auditors, researchers, and ultimately authorities about potential systemic risks. However, this envisaged regulatory dialogue is highly enigmatic at this point. General risk management places pressure on VLOPs and VLOSEs to invest additional resources into the study and mitigation of risks posed by their services. Because of the broad range of risks that are funnelled into the system, it is a 360-degree risk management tool that covers most corners

¹ Henry Blodget, 'Mark Zuckerberg On Innovation' *Business Insider* (New York, 1 October 2009) <<https://www.businessinsider.com/mark-zuckerberg-innovation-2009-10?r=US&IR=T>> accessed 6 September 2023.

of services. It asks providers of services to demonstrate that they acted responsibly when deploying and offering their services.

From companies' perspective, the key trade-off is between profitability and responsibility for social costs. VLOPs and VLOSEs are forced to internalise many more social costs. This is a familiar problem. A quickly innovating industry is tasked to think of the bigger picture, not just of its profits. We already see this with financial regulation, which similarly tries to keep the risk-taking of banks within acceptable levels, to avoid negative effects on individuals who entrust financial institutions with their money. Here, the DSA gives the European Commission a lever to push for change whenever the risks to others are tangible and concrete.

As explained in Chapter 13, platforms offer communication tools. Their design has a serious impact on personal liberty, relationships, and human autonomy. This is not surprising, for in the offline world, architecture undoubtedly affects people too.² Every design choice cultivates a different environment. However, architects of offline spaces mostly influence how people feel or meet, and not what they can say to each other. Their digital counterparts on the other hand, have much more control over the latter in the online sphere. It is therefore understandable that people are not as concerned about the overreach of safety regulations in the offline design (eg seatbelts, fire access, etc), as they are online. Offline, barriers must be purposefully and additionally erected to prevent people from communicating. Online, the distance is the barrier to communication which platforms purport to help overcome. In designing these communication tools, the Lessigian architects also hold the key to its manipulation.

Consider the problem of virality—the rapid dissemination of information. Virality can hold to account corrupt leaders, but also suppress voting in elections by flooding people with lies. Limiting the speed at which information travels over digital services inevitably means making trade-offs. Is the design of a recommender system enabling lower virality better or worse for society? If we focus on the problem of disinformation, slower information distribution might be favoured, especially during elections. If the focus is on legitimate civil protest, faster distribution might be favoured. It is hard to have it both ways.

Many digital services carrying user-generated content are powerful channels of information distribution because they harness the power of personal persuasion by other people. The results from a famous Facebook voting experiment, for instance, suggested that 'close friends exerted about four times more influence on the total number of validated voters mobilised than the message [posted by the provider] itself'.³ Behavioural scientists have been studying principles that influence people's behaviour for years. For instance, Cialdini (2001) posits that social proof, liking, authority, and reciprocity are

² Ben Channon, *Happy by Design* (RIBA Publishing 2019).

³ Robert M Bond and others, 'A 61-Million-Person Experiment in Social Influence and Political Mobilization' (2012) 489(7415) *Nature* 295, 298. Also James H Fowler, 'Turnout in a Small World' in Alan S Zuckerman (ed), *The social logic of politics: personal networks as contexts for political behavior* (Temple UP 2005).

among the six principles that help to persuade others.⁴ Many user-generated content services rely on social proof, liking, reciprocity, or commitment. Thus, interventions against how information travels sometimes need to address these specific and deeply communicative features of services.

Moreover, the information they carry can spread exponentially rather than linearly. This means that the growth in the distribution is initially slow, but within a few steps, it accelerates rapidly.⁵ Thus, the countermeasures must be fast and decisive, otherwise it could become hard to contain the social problem that might suddenly erupt. The on-line platforms trying to deal with the information spreading in the network are handling a contagious disease rather than a large incident with single source. As a result, a flexible risk-based approach, as opposed to detailed ready-made statutory rules, is more likely to help in addressing the distribution of content on digital platforms.

15.2 Relevant Risks

The DSA defines the relevant risks in two ways. First, the risk must take place on a designated service and be confined to the ‘design’, ‘functioning’, or ‘use’ of the service (Article 34(1)). The regulation does not exhaustively enumerate parts of the service that count as relevant risk surfaces, but it mentions some of them by example. Article 34(2) mentions user-generated content, recommendation systems, third-party advertising, and related data practices, as examples. Other risk surfaces, such as the design of interfaces (eg who can share how much content with whom, or what information they can view about others), external cooperation (eg how companies interact with trusted actors), or back-end internal operations (eg what is the training or work conditions of content moderators) are equally covered, as is evident from Article 35(1). Second, the risk must fit into one of the four risk categories: (a) illegal content, (b) fundamental rights, (c) public security and elections, and (d) health and well-being (see Table 15.1). The relevant types of risks and risk areas overlap and are not mutually exclusive. A risk of interference with elections can qualify as a risk from illegal content (a) and to electoral processes (c). A risk of under-enforcement of terrorist content qualifies as a risk from illegal content (a), and the risk over-enforcement as risk to freedom of expression (b). This 360-degree design means that the regulator cannot ignore either side of the societal equation.

Some authors argue that general risk management is worded so broadly that it can incorporate consideration of environmental costs of running companies, such as the carbon footprint of their data centres, and allow the regulators to question the

⁴ For discussion of the literature, Sofia Gkika and George Lekakos, ‘The Persuasive Role of Explanations in Recommender Systems’ (Second International Workshop on Behavior Change Support Systems, BCSS 2014) 61 <https://ceur-ws.org/Vol-1153/Paper_6.pdf> accessed 6 September 2023.

⁵ For an example of the spread of a conspiracy theory about Covid, Erin Gallagher, ‘Facebook Groups and YouTube Enabled Viral Spread of “Plandemic” Misinformation’ (*OneZero*, 21 May 2020) <<https://onezero.medium.com/facebook-groups-and-youtube-enabled-viral-spread-of-plandemic-misinformation-fla279335e8c>> accessed 6 September 2023.

Table 15.1 General risk management: overview

General risk management: relevant risks	Design-driven risks	Use-driven risks	Function-driven risks
	Interfaces, recommender systems, advertising, moderation tools, etc.	Terms and conditions, content moderation rules and processes	Data practices, back-end operations, staff training, external cooperation
Illegal content (Art 34(1)(a))	<i>Examples:</i> (a) terrorist content; (b) child sexual abuse; (c) illegal hate speech; (d) intellectual property infringements; (e) defamation; (f) sale of unsafe products; (g) cyberstalking or grooming; or (h) <i>any other</i> areas of illegal content or behaviour.		
Fundamental rights (Art 34(1)(b), Recital 81)	<i>Examples:</i> (a) human dignity; (b) freedom of expression and information, including media freedom and pluralism; (c) right to private life; (d) data protection; (e) right to non-discrimination; (f) rights of the child; (g) consumer protection; or (h) <i>any other</i> fundamental rights.		
Public security and elections (Art 34(1)(c), Recital 82)	<i>Exhaustive subcategories:</i> (a) civic discourse, including democratic processes; (b) electoral process; and (c) public security.		
Health and well-being (Art 34(1)(d), Recital 83)	<i>Exhaustive subcategories:</i> (a) gender-based violence; (b) public health; (c) rights of minors; (d) physical well-being; and (e) mental well-being.		

legitimacy of product design features, such as recommender systems, from the environmental standpoint.⁶ I am personally sceptical that such risks align with the DSA's goal 'to contribute to the proper functioning of the internal market for intermediary services by setting out harmonised rules for a safe, predictable and trusted *online* environment' (Article 1(1), emphasis mine). Thus, if the link to online environment is not present, despite the broadness, such risks are not relevant.

15.2.1 Systemic risks

Article 34 does not require self-assessment of just any type of risk. It only targets 'systemic risks'; in particular, 'any systemic risks in the Union stemming from the design or functioning ... or from the use made of their services' (Article 34(1)). The DSA offers little guidance on what 'systemic risks' are. The factors that it mentions are often contradictory.

Recitals 79 to 84 also try to explain the notion through examples, but the language hardly gives away any more concrete criteria. The broadness of the exercise is partly

⁶ Rachel Griffin, 'What Does Digital Policy Have to Do with Climate? A Great Deal' (*Centre for International Governance Innovation*) <<https://www.cigionline.org/articles/what-does-digital-policy-have-to-do-with-climate-a-great-deal/>> accessed 6 September 2023.

mitigated by the userbase threshold for becoming the regulated entity. The DSA speaks of the following criteria:

- Recital 79: ‘they could assess whether the potential negative impact can affect a large number of persons, its potential irreversibility, or how difficult it is to remedy and restore the situation prevailing prior to the potential impact’.
- Recital 80: ‘dissemination or activities may constitute a significant systemic risk where access to illegal content may spread rapidly and widely through accounts with a particularly wide reach or other means of amplification’.
- Recital 81: ‘the design of the algorithmic systems used by the very large online platform or by very large online search engine or the misuse of their service through the submission of abusive notices or other methods for silencing speech or hampering competition’.
- Recital 138: ‘systemic issues, such as issues with a wide impact on collective interests of recipients of the service’.

The DSA thus interchangeably invokes the *scale* of harm, its *irreversibility* and *speed*, and *collective dimension*. In practice, it may in either case be necessary to first undertake the self-assessment for all risks, as the potential magnitude of any risk might be unclear upfront. While all risks created by VLOPs or VLOSEs are potentially systemic due to their size, not all must be followed by providers’ counteraction (section 15.3.2). VLOPs and VLOSEs must take reasonable, effective, and proportionate steps against systemic risks given the probability and severity of their occurrence (Articles 34(1), 35(1)).

Originally, the European Commission’s proposal included two thresholds in its wording. It spoke of ‘any significant systemic risks’.⁷ The idea was that while the first threshold refers to the size of the impact, the second refers to its collective rather than individual nature. In this sense, one of the meanings of ‘systemic’ was to conceptually distinguish the approach from individual harms-based legislation that tend toward content regulation. The intention was to trigger interventions whenever the aggregate risk to individuals can be described as a structural or systemic problem. Despite the legislative process that followed, where the impact threshold disappeared, it is still valid to ascribe two basic meanings to the term ‘systemic’: ‘systemic’ in the sense of being central to society; and ‘systemic’ in the sense of emanating from systems.

In the final version of the text, the underlying logic of employing the qualifier ‘systemic’ seems to be that the wide reach of content on VLOPs or VLOSEs is such that any risk is susceptible to becoming systemic quickly, amplified by the size of its very large user base.⁸ Systemic in this sense refers to the ‘systemic role in facilitating the public

⁷ Commission, ‘Proposal for a Regulation of the European Parliament and of the Council on a Single Market for Digital Services (Digital Services Act) and Amending Directive 2000/31/EC’ COM(2020) 825 final, art 26(1) (‘any significant systemic risks stemming from the functioning and use made of their services in the Union’).

⁸ Rec 79 DSA.

debate and economic transactions.⁹ Therefore, it is irrelevant that some platforms do not have recommender systems. They are still platforms with large user bases for the distribution of other people's information. Similar intuition is being used by the CJEU in cases dealing with automated profiling or decision-making, where the large scale of operations and opaque setting usually suggest a higher impact on the data protection interests of an individual.¹⁰

The difficulty with the DSA's reliance on such a broad notion of *systemic* risks lies in the lack of a concrete *circle of responsibility* that could limit the risks and reveal their systemic nature. For banks under financial regulation, the focus is on the stability of the financial system which can influence businesses and individuals. For technology companies operating platforms, what exactly counts as their circle of responsibility is unclear. The DSA with its 360-degree design seems to suggest that everything is Big Tech's responsibility. This is again where parallels with other areas, such as banking, offer little help.¹¹ Thus, arguably, the Recitals invoke the *scale* of harm, its *irreversibility* and *speed*, and *collective dimension* as potential qualifiers. The Commission might reduce uncertainty by developing risk profiles for different types and registries of risks which would help companies to assess them. The Commission's counterpart in the United Kingdom, Ofcom, is currently doing just that.¹²

Researchers from many disciplines need to help regulators define the systemic relevance of various risks to adults, minors, elections, media, public security, and many others. While the DSA offers a matrix of risks to consider, what truly matters to people, and their societies can only be revealed by rigorous study of their problems. This is why the DSA provides a strong link to the research community (Chapter 16), giving them privileged access to data (Article 40) and allowing the Commission to draw on the expertise and capabilities of relevant expert bodies and centres of excellence, and to invite experts with specific expertise.¹³

15.2.2 Hybrid services

Not all services that the DSA regulates are purely about user-generated content. The DSA also similarly regulates hybrid services which combine editorial and user-generated content. For instance, marketplaces that sell their own and third-party

⁹ Commission, 'Proposal for a Regulation of the European Parliament and of the Council on a Single Market for Digital Services (Digital Services Act) and Amending Directive 2000/31/EC' COM(2020) 825 final 6.

¹⁰ Case C-817/19 *Ligue des droits humains v Conseil des ministres* ECLI:EU:C:2022:491; Joined Cases C-293/12 and C-594/12 *Digital Rights Ireland Ltd v Minister for Communications, Marine and Natural Resources and Others and Kärntner Landesregierung and Others* ECLI:EU:C:2014:238.

¹¹ A Centre on Regulation in Europe (CERRE) report explores whether the notion of systemic risk from financial services can be used in the context of the DSA and comes to the same conclusion: it mostly cannot (Sally Broughton Micova and Andrea Calef, 'Elements for Effective Systemic Risk Assessment under the DSA', <<https://cerre.eu/news/cerre-on-dsa-systemic-risk-assessment/>> accessed 19 December 2023).

¹² Ofcom, 'How Ofcom is approaching online safety risk assessments', <https://www.ofcom.org.uk/__data/assets/pdfs/pdf_file/0019/255340/approach-to-online-safety-risk-assessments.pdf> accessed 19 December 2023.

¹³ DSA, Rec 137.

products, video-sharing platforms that distribute their own and third-party content, and music streaming services that redistribute music but also podcasts that are uploaded by their authors. The general expectation is that the distribution of own goods or content is usually subject to higher due diligence than that required by the DSA for third-party content; thus, companies offering their own content already have necessary legal incentives to police the risks posed by their own content.

If providers can design around regulation, the DSA might be hollowed out. But if the DSA pushes too hard to include everything that vaguely *relates* to regulated services and their relevant risks, it might disincentivise good user experience. Providers could start offering User-Generated-Content services separately from those that offer editorial content, with no obvious win for consumers. In my view, some middle ground between these positions is warranted. While for the purposes of counting users, a broad approach is preferable and arguably a better interpretation (Chapter 9), for the identification of relevant risks, the prescribed risk management should have some strong link to the *function* of the online platform as an ‘intermediary service’. Thus, if editorial content is clearly separated in the customer experience, even though the same interface is being used, risk management might not need to extend to editorial content.

In contrast, a hybrid service with both editorial and non-editorial content presented through the same recommender systems and product design, should consider both sides as relevant. This is why generative artificial intelligence (AI) that is integrated into regular platforms or search engines should end up being regulated by the DSA. However, a hybrid service with both types of content which are clearly separated, with little spill-over effects between them (eg in two separate sections of the marketplace or streaming service), should consider only risks for those parts that are closely linked to storage of third-party information (eg hate speech in podcasts, but not music).

Finally, because the DSA is also about a fair moderation process, including when enforcing contracts, these hybrid services can create a paradox. Creators whose content is ‘re-sold’ by platforms end up being protected less than is offered by them directly, only using the platforms. For instance, podcasters on streaming services could gain stronger rights vis-à-vis platforms than musicians offering music. If contractual relationships are untouched by the DSA, they leave the respective suppliers of content more exposed to the contractual dictates of platforms. This, in turn, creates a strong enough reason for VLOPs and VLOSEs to argue that parts of their services are outside the general risk management tools. Zalando, an online marketplace, is arguably already trying this strategy in the General Court to avoid being regulated as a VLOP.¹⁴

15.3 Risk Management Cycle

The system of risk mitigation measures envisaged by the DSA is best described as a *regular cycle of assessments*. The cycle is broken only by the potential trigger of the crisis

¹⁴ Case T-348/23 *Zalando v Commission* (case in progress, lodged 27/06/2023).

response mechanism (Article 36) and the release of new critical functionalities (Article 34(1)).

Risk mitigation takes place at least once a year in the following five steps:

- Step 1: The designated provider, initially four months after its designation and *at least once every year* thereafter, internally assesses and documents relevant systemic risks¹⁵ for each EU language or region in a *self-assessment report*.¹⁶ Such self-assessment entails proactively identifying and analysing systemic risks for each of the four relevant risk categories (and sub-categories) looking at least at enumerated risk areas. It ought to cover the entire service, including its own ‘design’, ‘functioning’, and ‘use’ made by third parties. The provider is implicitly given the discretion to design an optimal risk mitigation strategy that fits its unique product category and features. The report is eventually notified to the Commission.¹⁷
- Step 2: The designated provider must act upon the results of the self-assessment and write a *mitigation report* about what it does to mitigate the risks.¹⁸ The provider must ‘put in place reasonable, proportionate and effective mitigation measures, tailored to the specific systemic risks’.¹⁹
- Step 3: The designated provider annually shares its self-assessment with external auditing firms. The resulting *audit report* contains ‘positive’, ‘positive with comments’, or ‘negative’ assessment of each risk, and if relevant, operational recommendations on specific measures to achieve compliance and the recommended timeframe to achieve compliance.²⁰
- Step 4: The designated provider acts upon the recommendation in the audit report, and documents its stance and adopted measures in the *audit implementation report*. Finally, it submits the original assessment and action self-report, along with the audit report, audit implementation report, and other relevant documents to the digital services coordinator (DSC) of the establishment and the European Commission.²¹
- Step 5: The European Commission evaluates these reports and contrasts them with the findings made by vetted researchers, other academics, or any other information that is readily available. It can require improvements in so far as it can establish an infringement of the DSA standards. When there is a suspected breach of the DSA, the Commission can act without needing to wait until the risk management cycle provides results.

¹⁵ DSA, art 34(1).

¹⁶ Art 34(2) DSA requires that the assessment ‘shall take into account specific regional or linguistic aspects, including when specific to a Member State’.

¹⁷ DSA, art 42(4).

¹⁸ Note that in art 42, it refers to transparency as regards the mitigation measures, but no clear obligation to ‘produce’ a report as such.

¹⁹ DSA, art 35(1).

²⁰ DSA, art 37(4).

²¹ DSA, art 42(4).

15.3.1 Step 1: Self-assess the systemic risks

Articles 34 and 35 set out the basic matrix of risks that VLOPs and VLOSEs must consider. While each service is different, the DSA effectively requires that the designated providers pay special attention to some areas of risks and categories of risks. The risk matrix depicts the initial focus. However, the DSA's assessment is adaptive. The areas of risk of the platforms, such as recommender systems, are not set in stone and are only indicative of the main risks in the minds of the legislator when the DSA was adopted.²² The categories of risk are set exhaustively,²³ but sufficiently open and flexible to react and adapt to new developments in digital services.

The first two categories of risk especially help to ensure that any new risks are covered, since any risk can potentially qualify under the category of illegal content or negative effect on fundamental rights.

During the negotiations, Article 35 became somewhat of a catch-all provision for more explicit proposals that failed to become part of the DSA. For instance, Article 35(1)(c) mentions quite mysteriously content moderation of 'illegal hate speech or cyber violence'. Naturally, the remark was not intended to suggest that other types of illegal content are less relevant. It was only inserted because the European Parliament's proposal to include such an obligation for online platforms that are primarily used to disseminate user-generated pornographic content had failed to be taken on board.²⁴ Its original purpose was to tackle emerging issues regarding 'revenge porn'. However, the final political compromise only raised the issue as a concern that requires attention under the risk mitigation obligation.²⁵

The reference to illegal hate speech has similar origins. Germany was keen to promote its national law on hate speech (NetzDG).²⁶ As a result, the Council accepted a reference in Recital 87, by way of an example, to the 2016 Code of Conduct on countering illegal hate speech online²⁷ as a benchmark for processing valid illegal hate speech notifications in less than 24 hours. The reference, as with the previous one, does not mean that those standards should become a hard timeframe. In fact, they show the opposite. There was no political agreement on such issues. The same story applies to reference in

²² The DSA leaves an open door to 'emerging issues' in relation to VLOPs and VLOSEs, for which the Commission, in cooperation with the DSCs and the Board, shall coordinate the assessment (art 64 DSA).

²³ I am of the view that the list is exhaustive, despite the language which speaks of 'shall include the following systemic risks' in art 34(1). I agree with colleagues who argue that the scope is already very broad, and there is no indication as to what other groups of interest could be included. Plus, the language can imply that the companies are not limited to these risk categories, but can go beyond. See Saulius Kaleda, Paul-John Loewenthal, and Folkert Wilman, *Digital Services Act: Commentary* (forthcoming, OUP 2024) § 35 (C:12).

²⁴ The proposed art 24b reads: 'additional obligations for platforms primarily used for the dissemination of user-generated pornographic content', European Parliament, 'Amendments Adopted by the European Parliament on 20 January 2022 on the Proposal for a Regulation of the European Parliament and of the Council on a Single Market for Digital Services (Digital Services Act) and Amending Directive 2000/31/EC (COM(2020)0825 — C9-0418/2020 — 2020/0361(COD))' [2022] OJ C336/48, art 24(b).

²⁵ Rec 87 DSA.

²⁶ Network Enforcement Act, *Netzwerkdurchsetzungsgesetz* (NetzDG) v 1 September 2017 (BGBl. I S 3352).

²⁷ European Commission, 'Code of Conduct on Countering Illegal Hate Speech Online' (31 May 2016).

Article 35(1)(k) to ‘deep fakes’.²⁸ It results from the European Parliament’s proposal to impose a specific obligation on VLOPs to ensure that deep fakes are labelled as such.²⁹ The provision did not make the final cut, but found its reflection in the long list of potential risk mitigation measures. Thus, it is merely flagged as an issue politically.

There is no obvious *ranking* of relevant risks, as outlined in Article 34. However, as will be discussed below, conceptually and evidence-wise, there should be a difference between tackling aggregate risks enabled by illegal content, and those enabled by lawful or mixed content. Article 34 has mostly procedural character—that is, companies must follow the process of scoping the potential risks. The existence of a procedural obligation to analyse does not automatically translate into an obligation to act. The substantive obligation to act is determined by Article 35.

15.3.2 Step 2: Risk mitigation measures

Once the risk-assessment report is ready, the platform must contemplate and implement specific measures to mitigate risks. If successful, the risk is mitigated, but not eliminated. Some residual risks always remain and are imposed on individuals or society at large (section 15.4.4). To comply, the providers must simply demonstrate that they have credibly tried to treat the problem, not show that they found a cure. It is broadly accepted that with many systemic risks, potential solutions can require the action of a much broader set of actors than just the online platforms.

Unlike Article 34, Article 35 implies a substantive obligation to counter the risks. However, the obligation to ‘put in place reasonable, proportionate and effective mitigation measures, tailored to the specific systemic risks’ is qualified by several constraints, such as discretion given to the regulatees,³⁰ the prohibition of general monitoring (Article 8), compliance with the fundamental rights, including the principle of legality, and the scope of the DSA itself (Article 1(1)). The result of this is a certain gap between an obligation to assess and an obligation to act upon the risks (see Figure 15.1).

This is why defining the scope of the obligation to assess is comparatively less important. General risk management thus focuses on incremental improvements more than on all-solving cures. VLOPs and VLOSEs usually cannot be realistically expected to ‘fix’ society and all its ills. Ultimately, in the broadest possible terms, the ambitious goal is to lower the negative impacts that digital technologies can have on humans and society at large.

To avoid unrealistic expectations, one must keep in mind that risk mitigation measures do not have the luxury of being implemented in a perfect world where technology only brings benefits and no costs. Technology rarely has only positives. To intervene

²⁸ Described as ‘an item of information, whether it constitutes a generated or manipulated image, audio or video that appreciably resembles existing persons, objects, places or other entities or events and falsely appears to a person to be authentic or truthful’.

²⁹ European Parliament (n 24), art 30a.

³⁰ Rec 90 and art 36(5) DSA *a contrario*.

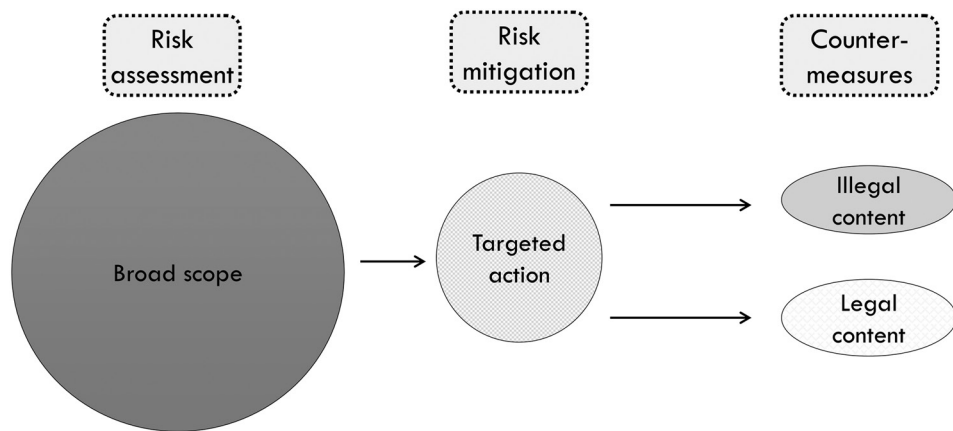


Figure 15.1 Scope of risk mitigation and risk assessment

successfully, we need to know the facts on the ground and be able to conceptualise them as wider social problems. The full extent of social costs is rarely visible from the tip of the iceberg.

Article 35(1) outlines the most obvious areas for intervention in a non-exhaustive manner. The list of interventions is aligned with the list in Recital 84. It includes:

- a) design of services, including their interfaces;
- b) terms and conditions, including their enforcement;
- c) content moderation practices, including their speed, quality, and resources;
- d) algorithmic systems, including recommender systems;
- e) advertising systems;
- f) internal processes and resources for risk detection, testing, and documentation;
- g) cooperation with trusted flaggers and implementation of ODS decisions;
- h) cooperation under codes of conduct or crisis protocols;
- i) awareness-raising measures for users;
- j) child-protecting measures, including age verification, parental control, and abuse reporting; and
- k) anti-manipulation measures, including against ‘deep-fakes’.

The list indicates that the DSA is envisaging the enlistment of legal, technical, and organisational measures of various kinds. Online platforms should consider *legal interventions*, such as changes in contractual terms, cooperating with others, and submitting themselves to self-regulation. They should also translate them into *technical interventions*, such as the design of algorithms and tools for advertisers, users, or their parents. Finally, they are asked to invest in *organisational capabilities* by improving the functioning of the internal processes and detection systems, as well as external cooperation.

The providers design their risk mitigation strategy autonomously. Unlike the Commission (section 15.4), they can freely design their policies on the interface of

legal and illegal content. They can use their discretion to design the underlying rules as they see fit, limited only by the broad limits of Article 14(4) (Chapter 12). Thus, two providers can easily adopt completely different approaches to the same risks as long as they can convincingly tailor their risk mitigation strategies. The discretion of providers is only limited by the European Commission's supervision of risk mitigation measures. Especially with respect to risks posed by legal content, there is a significant gap between what providers can legitimately do, and what the Commission can require them to do.³¹ This gap is given to the providers to experiment with underlying content policies and can always be reduced by the legislature expanding the notion of illegal content.

As argued in Chapter 13, the ability to punish uncooperative providers solely on the basis of Articles 34 and 35 is likely to be costly, due to evidence that the Commission will need to gather in order for its decisions to withstand judicial review before the Court of Justice of the European Union. This is why I argued that the Commission is likely to enforce risk mitigation provisions with Codes of Conduct, rather than solely on the basis of Articles 34 and 35 (Chapters 13 and 20). The only prescriptive content rule that the Commission could invoke cheaply against the underlying content policies is Article 14(4), which is of limited use for these purposes (Chapter 12.3.1).

The DSA does not expect interventions to be solely unilateral. On the contrary, interventions can include various collaborations with third parties or authorities. For instance, one can imagine that to mitigate risks affecting electoral processes, designated platforms could establish connections with local election commissions to better understand the landscape. More importantly, Recital 90 encourages VLOPs and VLOSEs to involve representatives of the recipients of the service, representatives of groups potentially impacted by their services, independent experts, and civil society organisations in the design of risk mitigation measures, including, as appropriate, surveys, focus groups, round tables, and other consultation and design methods.

All interventions adopted by platforms must be compliant with human rights standards. The DSA cannot prescribe actions that would violate fundamental rights, such as freedom of expression, or privacy and data protection of individuals. All the adopted measures are subject to requirements of 'reasonableness', 'proportionality', and 'effectiveness' (Article 35(1)). The entire DSA is subject to the prohibition of general monitoring obligations (Article 8 and Recital 30).

Thus, for instance, Article 35 cannot serve as a back door to impose measures, such as indiscriminate data retention, that would be impossible to impose by legislatures themselves. Any adopted measures are measures that are 'instigated' by the legislature, and the legislature is equally responsible to oversee that they do not go too far.³² This

³¹ Saulius Kaleda, Paul-John Loewenthal, and Folkert Wilman, *Digital Services Act: Commentary* (forthcoming, OUP 2024) § 35 (section B) noting that there is no automaticity between the risk assessment and the risk mitigation.

³² Case C-401/19 *Republic of Poland v European Parliament and Council of the European Union* ECLI:EU:C:2022:297. The same goes for the crisis response mechanism under art 36. For a similar view, Saulius Kaleda, Paul-John Loewenthal, and Folkert Wilman, *Digital Services Act: Commentary* (forthcoming, OUP 2024), § 34.

is why the same measures that are adopted to protect some interests could in themselves be scrutinised for potentially creating risks to other interests, such as privacy or freedom of expression. Recitals 90 and 153 make that crystal clear.

15.3.3 Step 3: External auditing

Under the DSA, compliance with all of the DSA's due diligence obligations, and additional commitments that they assumed based on codes of conduct (Articles 45–48), is subject to annual independent audits at the expense of the provider.

The DSA tries to create a robust framework for auditing providers' risk assessments. Limiting the audits to VLOPs and VLOSEs only has been criticised by some as 'unnecessary' and leaving a 'blind spot' in the regulatory landscape.³³ The concept of auditing very large services has developed in line with the underlying idea of asymmetric regulation: the bigger the firm, the greater the responsibility it attracts. While it is true that smaller companies can cause harm, it must be remembered that the DSA does not leave these smaller companies unregulated. Risk mitigation is only one of the tools, which complements the baseline rules that are created for the rest of the ecosystems.³⁴

Auditing as a means to achieve compliance acknowledges the informational asymmetry between regulators and regulated providers. At the same time, this means it is also subject to all the limitations of such a regulatory model, including the possibility of substandard audits being conducted, perhaps by auditing firms that are frequent clients of VLOPs or VLOSEs. However, the DSA innovates on several fronts to avoid these scenarios; only time will tell whether it does so successfully.

The DSA's auditors are independent but paid by VLOPs or VLOSEs. Auditors must obtain cooperation and assistance, including access to data and premises (Article 37(2)). It prohibits platforms from 'unduly influencing' or 'undermining' the performance of audits but also affords auditors with appropriate confidentiality and professional secrecy guarantees. Those, obviously, cannot come at the expense of the envisaged transparency, supervision, and enforcement. However, the guarantees should help to build trust between providers and their auditors when providing explanations and access to data. Auditors by definition must have access to more information than they can reveal in their audit reports or their publicly circulated versions.

The scope of the auditor's work includes not only all special obligations of VLOPs and VLOSEs, but all applicable due diligence obligations, including those that were accepted voluntarily through codes of conduct or crisis protocols (Article 37(1)). This

³³ Johann Laux, Sandra Wachter, and Brent Mittelstadt, 'Taming the Few: Platform Regulation, Independent Audits, and the Risks of Capture Created by the DMA and DSA' (2021) 43 *Computer Law & Security Review* 105613.

³⁴ Thus, while smaller infamous websites, such as 4chan, are unlikely to qualify as VLOPs, and anecdotally can be said to contribute to the radicalisation of youth, they remain subject to other DSA obligations concerning illegal content and content moderation. Tim Hume, '2 Men Killed Outside Gay Bar by Suspected Far-Right Gunman' *Vice* (13 October 2022) <<https://www.vice.com/en/article/v7vp8j/bratislava-slovakia-gay-bar-shooting>> accessed 5 September 2023.

means that when providers enter into these voluntary practices, they also expand the scope of audits. Each relevant code of conduct or crisis protocol thus gains a supervisory mechanism which is wholly subsidised by the providers. Given that providers also pay special regulatory attention to the European Commission, they are clearly expected to bear the financial costs of some of the externalities that they impose on others.

Article 37(3) sets several requirements for auditing firms: a) independence from and lack of conflict of interest with VLOPs and VLOSEs and connected legal persons; b) proven expertise in risk management, technical competence and capabilities, and c) proven objectivity and ethics. The independence and lack of conflict of interest are further specified by means of examples: the auditing firm must not have provided the audited VLOP or VLOSE with other non-audit (eg consulting) services relating to audited matters in the 12 months prior to and after the audit, performed the auditing services of a particular VLOP or VLOSE for more than 10 years in a row, or performed the audit in return for remuneration that is contingent upon the result of the audit.³⁵

The European Commission has the ability to issue delegated acts that further specify how to perform the DSA audits (Article 37(7)), including by harmonising the templates, procedures and methodologies. The audits can be also subject to standardisation which can be equally initiated by the European Commission (Article 44). Article 37(4) gives some hints on the basic things that will require further specification, in particular the methodology of audits, consulting of third parties, and the granularity of operational recommendations if the audit is not fully positive. Article 37(7) suggests templates as a possible way of standardising the auditing practice. At the time of writing, the Commission has only published a draft of the Delegated Act for public consultation, which has been heavily criticised by the auditing industry for its vagueness.³⁶

Audits are potentially an important check on the obligation to conduct risk assessment and mitigation by providers. Auditors are meant to independently access the data, and report on the findings to the providers in a way which is visible to everyone. If they cannot access some parts of the service, independently verify some claims or generally lack a proper explanation for what they observe, they must explicitly explain the circumstances and reasons in their reports (Article 37(5)). When VLOPs or VLOSEs follow up on the reports, they must react to this, again in public.

One of the worries expressed by researchers is that the narrow set-up of the auditing services can lead to audit capture.³⁷ The important innovation that the DSA's audit presents is the ability of researchers to independently verify and examine the audits. The DSA introduces researchers as a de facto check on audits (and regulators). Because providers no longer control the researchers' access to data, they also cannot pick and

³⁵ Some of these requirements were clearly inspired by the Audit Regulation (eg, art 17): see European Parliament and Council Regulation (EU) No 537/2014 on specific requirements regarding statutory audit of public-interest entities and repealing Commission Decision 2005/909/EC [2014] OJ L158/77 (Audit Regulation), art 17.

³⁶ See 'Digital Services Act: Delegated Regulation on Independent Audits Now Available for Public Feedback' (*Shaping Europe's digital future*, 5 May 2023) <<https://digital-strategy.ec.europa.eu/en/news/digital-services-act-delegated-regulation-independent-audits-now-available-public-feedback>> accessed 5 September 2023.

³⁷ Laux, Wachter, and Mittelstadt (n 33).

choose their researchers. Thus, if the auditors engage in audits that are too lax, their failings can be uncovered by researchers who can verify their claims. Knowledge of this possibility should be an important incentive for auditors to tread much more carefully. What the DSA lacks, however, is a proper mechanism to strip auditors of their credentials and solutions in case auditing markets are not properly competitive.

Thus, one of the crucial tasks of the delegated act should be to spell out the consequences of failing to act with objectivity and professional ethics (Article 37(3)(c)). The opposite type of worry concerns the competitiveness of the auditing markets. Because consulting services are much more lucrative than auditing, there is a risk that opportunity costs to big auditing firms can limit the market to a few players. This, in turn, could affect the competition, and quality of the services. At the time of writing, the only input from the auditing industry is the Commission's consultation on the delegated act. Thus, it is hard to evaluate whether the DSA audits might suffer these types of problems.

After the finalisation of audits, the providers must follow up and justify their actions or inaction. They must document their actions and submit them in writing to the European Commission, which publishes them in its public repository in a redacted form. This should allow the public, including journalists and researchers, to study the claims and the evidence, and further interrogate their credibility. If it works, it will create a circle of information flows that is hard to manipulate by auditors themselves. This will necessitate vibrant research communities to act as a check.

As regards what affects the risk management cycle, the DSA establishes that the audit reports (Article 37(4)) must include a summary of substantiated findings, the 'positive', 'positive with comments', or 'negative' audit compliance opinion, and operational recommendations on specific measures to achieve compliance with the DSA. Where the auditing firm was unable to audit certain elements of services, it must nevertheless conclude based on what is known from its investigations and state the reasons why some parts could not have been directly audited (Article 37(5)).

15.3.4 Step 4: Provider's follow-up on external audits

If the audit report is positive, the VLOP or VLOSE does not need to follow up. However, even a positive report does not protect a provider from potential enforcement actions by the Commission. At the same time, a negative report does not indicate the DSA has been violated in the eyes of the Commission. Fully positive audits are unlikely to be common because even a single shortcoming means that the outcome is 'positive with comments'. If the audit report is 'positive with comments' or 'negative', hence suggesting at least partial non-compliance with the DSA or commitments under the codes of conduct or crisis protocols, the provider must prepare an audit implementation report within one month.

Providers are not explicitly bound by the recommendations made by auditing bodies; however, if they decide to not implement them, they must justify why, and set

out any alternative measures to address the identified non-compliance (Article 37(6)). The risk assessment, the description of the risk mitigation measures, the audit report and the audit implementation reports have to be immediately sent to the European Commission and the DSC of establishment upon completion of each one (Article 42(4)). It must be published (Article 42(4)) at the latest three months after the receipt of each audit report.

15.3.5 Step 5: Oversight by the Commission and public

The system, as outlined above, can only work if there is sufficient public oversight of each of these steps. Apart from the authorities, both civil society and researchers have an important role to play. Thus, while the Commission is allocated exclusive competence to enforce the provision, the broader responsibility to inform the Commission's enforcement rests also with the public. While the DSA envisages a complaint mechanism only on a national level (Article 53), the Commission is likely to receive and react to complaints as a matter of good administration.

While audits performed by firms are external and to strict independence requirements, they are still performed by professionals who are paid by private companies. Thus, a 'trust but verify' approach is more than appropriate. The providers are obliged to facilitate bulk access through dedicated interfaces, such as APIs or online databases (Article 40(7)). Researchers, on the other hand, offer their own academic independence, methodological prowess, and strong subject matter expertise. As experts in various areas of social sciences, they can better spot potential problems and work on uncovering potential solutions to them. Furthermore, as experts in various areas of data science and forensics, they can help regulators shed light on opaque systems and their functioning.

The European Commission, along with the DSCs of establishment, must have access 'to monitor and assess compliance with' the DSA itself (Article 40(1)). They can additionally request an explanation of 'the design, logic functioning and the testing of their algorithmic systems, including their recommender systems' (Article 40(3)). These authorities thus access data in order to verify various statements made by providers and their auditors. The enforcement of Articles 34 and 35 is subject to exclusive competences, and even private enforcement of these provisions is generally not possible (Chapter 19.2).

15.3.6 DSA compliance officers

To further cement the risk management obligation within the companies, VLOPs and VLOSEs must create a 'compliance function'; a role that is independent of the provider's daily business operations, such as product development (Article 41(1)). This function must have sufficient authority, stature, and resources, as well as access

to the management body of VLOPs and VLOSEs. One or more compliance officers can be appointed to this DSA unit within companies. This allows the specialisation of compliance officers in the remit of DSA's responsibilities. If more compliance officers are appointed, they must be directed by the head of compliance (Article 41(2)). The head of compliance is the person who should be raising DSA awareness, compliance and risk-mitigation issues with the management body of the company.

The management body of each VLOP and VLOSE is ultimately responsible for devising the organisational structures that allow heads of DSA compliance to carry out their tasks effectively and independently within the organisation (Article 41(5)). At least once a year, the management body must approve and review 'strategies and policies for taking up, managing, monitoring and mitigating the risks' (Article 41(6)). The management body is explicitly required to devote sufficient time to and be 'actively involved' in risk management issues (Article 41(7)).

Compliance officers within the company's DSA compliance unit are tasked with monitoring how the company's services comply with all provisions of the DSA (Article 41(3)). The compliance officers employed must have the professional qualifications, knowledge, experience, and ability necessary to fulfil the tasks. The DSA does not specify a baseline for these qualifications and desired characteristics. The DSA thus does not require that compliance officers need to be lawyers, or computer scientists who understand the intricacies of the product's architecture. The head of the compliance function must be 'an independent senior manager' who has 'distinct responsibility' for DSA compliance. He or she must report directly to the management body of VLOPs or VLOSEs and must always be able to raise concerns and warn about relevant risks or non-compliance with the DSA. The head of compliance with DSA must be protected against removal without the prior approval of the company's management body. Her/his identity per each VLOP or VLOSE must be notified to the European Commission and the DSC of establishment (Article 41(4)).

Individual compliance officers have internal and external tasks. Externally, they are the primary contact for communication between the European Commission and the DSC of establishment. Internally, they are the persons advising on DSA compliance. They should guide the risk-assessment phase of their services to assure its completeness and objectivity. They must review the implemented mitigating measures for their effectiveness, proportionality and reasonableness. They organise and supervise the external audit of the risk mitigation measures. And finally, they monitor compliance with all DSA obligations, including those voluntarily accepted in the Codes of Conduct or Crisis Protocols, and internally report on any non-compliance.

The role thus is not dissimilar from that of the data protection officer introduced by GDPR. However, data protection officers can be also external persons. Because the DSA applies only to VLOPs and VLOSEs, which are assumed to be run by bigger companies, DSA compliance officers are assumed to be mostly internally employed by companies. This is clear from their expected involvement in daily operations.

15.4 A Theory of the DSA's Limited Risk Management

Since no risk management cycle had come to an end at the time of writing, the best I can do is offer a theory of what the European Commission is entitled to do in terms of risk management.³⁸

While the DSA is drafted in a balanced manner, no rules are immune to misuse. Recital 153 grounds the future role of the European Commission as follows:

This Regulation respects the fundamental rights recognised by the Charter and the fundamental rights constituting general principles of Union law. Accordingly, this Regulation *should be interpreted and applied in accordance with those fundamental rights, including the freedom of expression and of information, as well as the freedom and pluralism of the media*. When exercising the powers set out in this Regulation, all public authorities involved should achieve, in situations where the relevant fundamental rights conflict, a fair balance between the rights concerned, in accordance with the principle of proportionality.³⁹

The litmus test for how the Commission sees its own role will be what risk mitigation strategies it considers insufficient to comply with Articles 34–35 DSA.

As argued in Chapter 13, the Commission has a strong legal mandate to request mitigation measures for *illegal content*. The key limiting legal principles here are proportionality, the prohibition of general monitoring obligations, and the fundamental rights of others. The key practical limit is the Commission's resources to build cases and gather facts (Chapter 20).

The Commission must tread much more carefully when acting on risks that fall only under Articles 34(1)(b)–(d). The Commission does not have the power to step in as a surrogate legislature on the content questions. When controversies about legal content arise, such as some types of disinformation, or vulgar content, it must limit itself to what is its mandate. The mandate is not only determined by the DSA itself but also by European human rights law that requires restrictions on freedom of expression to be of sufficient 'quality of the law'.⁴⁰

Given that the Commission is imposing restrictions on the largest services, it is crucial that Articles 34–35 are viewed as what I would term a *limited risk mitigation* approach.

³⁸ Part of this text was published in Martin Husovec, 'Rising Above Liability: The Digital Services Act As a Blueprint for the Second Generation of Global Internet Rules' [2023] Berkeley Technology Law Journal (forthcoming).

³⁹ Emphasis mine.

⁴⁰ Ch 3.

15.4.1 Limited vs full risk management systems

In any risk management system, the relationship between substance and process is the most difficult one to get right. To begin, any proposal that tries to tackle ‘risks’ or overall ‘harmful behaviour’ cannot ignore that on user-generated content services, what users say or do remains a key risk factor. While ‘undesirable’ user behaviour can be influenced by the design of services, in some form it will continue to exist irrespective of this intervention; the risks involved with such services thus result less frequently from non-human external factors, and more commonly from unpredictable, and very human, factors.

Managing the risks of crowds often requires telling individuals how they must behave. If authorities subject the occurrence of selected illegal user behaviour to certain metrics, the legitimacy of such a policy is straightforward. The legislatures already agreed that such behaviour is illegal, and the authority is only trying to quantify compliance. However, if authorities subject the occurrence of some *legal* expressions to the same metrics, they will unavoidably end up policing the bounds of what people can say—that is, the content of their communications. Putting quotas on user expressions, when taken to its logical conclusion, means telling some people what they cannot say. It means creating content rules.

Whether addressing ‘harm’ or ‘risk’, the key litmus test is *who* sets the boundaries for the content of communications. One approach gives such power to decide to authorities; others leave it to individuals, providers, and parliaments.

- The *full* risk management approach gives the broadest power to authorities to ask companies about how their service design influences what happens on the platforms. Authorities observe, compare, analyse, and ask for changes, including by imposing tailored standards or quotas of ‘problematic’ user expressions, regardless of their legality. The mandate of authorities thus extends to lawful but awful content and permits them to become surrogate legislatures policing the boundaries of free expression.
- The *limited* risk management approach shares the concerns about system design that might encourage various risks but stops short of giving authorities the power to rewrite what lawful individual expression should be banned or suppressed by quotas or quota-like metrics. This approach recognises that authorities do not have the legitimacy of parliaments. Parliaments should remain responsible for setting the goalposts of illegal content of communications. If a specific risk or harm is particularly damaging, parliaments can move the goalposts further.⁴¹ As a result, the authorities limit their demands regarding legal content to solutions that

⁴¹ In the UK, the self-harm debate led to the empowerment obligation and a proposal to create a new offence of ‘encouraging or assisting serious self-harm’: Online Safety Bill (2022–23) HL Bill 87 (Rev)-VII(a) Amendments for Committee (Supplementary to the Seventh Marshalled List), 58 <<https://bills.parliament.uk/publications/51205/documents/3437>> accessed 5 September 2023.

preserve people's agency by giving them freedom of choice; such solutions mostly empower or redesign users' choice architecture.

The DSA does *not* explicitly address the problem of whether the Commission can require providers to change their contractual standards of 'lawful but harmful content' as part of the risk management strategies.⁴² Illegal content is defined by legislatures.⁴³ Due to the absence of any explicit legal mandate, any attempts to prohibit or suppress specific expression that is legal would arguably violate the rule of law because of the insufficient legal basis. Thus, I contend that the DSA adopts the limited risk management approach. This does not mean that illegal content targeting (and thus content-specific) measures cannot affect legal content, but that the legal content cannot itself become the target.⁴⁴

In Chapter 13, I discussed a 2023 Disinformation Study that seems to imply that under the DSA, the Commission requires *content-specific* interventions against disinformation, regardless of the legality of disinformation, to mitigate the risks of pro-Kremlin narratives being spread by Kremlin-aligned actors.⁴⁵ As discussed there, the key problem with such an expansive approach is that it pretends that Article 34(1)(b)–(d) constitute the legal basis for the Commission to restrict the distribution of specific expressions, and thus to go beyond existing categories of illegal content.

In my view, the internal division between Article 34(1)(a) and (b)–(d) would lose any purpose if such reading were to be accepted. Moreover, the DSA's insistence on illegal content across parts of the DSA (eg, Article 16) would have no purpose if the regulator could redraw such boundaries ad hoc. Finally, and most importantly, under the existing standards of the ECtHR, this in my view goes beyond the legal mandate conferred on the Commission.⁴⁶ And I do not seem to be alone in this view.⁴⁷

There are very few arguments that can be made in support of a full risk management approach under the DSA. Recital 88 says that mitigation measures can include 'discontinuing advertising revenue for specific information'; however, it is not clear whether this relates to legal information at all. Similarly, the focus on terms and conditions in Article 35(1)(b) does not imply any dictate of the rules on legal content but

⁴² Art 35(1)(b) speaks of 'adapting their terms and conditions and their enforcement'. In my view, this does not necessarily mean prohibiting lawful behaviour or content. It speaks to the clarity and predictability of rules.

⁴³ DSA, art 3(h).

⁴⁴ The same conclusion is reached with slightly different arguments by Saulius Kaleda, Paul-John Loewenthal, and Folkert Wilman, *Digital Services Act: Commentary* (forthcoming, OUP 2024), § 34.

⁴⁵ DG-CONNECT (EU Commission), *DSA: Application of the Risk Management Framework to Russian Disinformation Campaigns* (EU Publications Office 2023) <<https://data.europa.eu/doi/10.2759/764631>> accessed 5 September 2023.

⁴⁶ The argument is that art 34 DSA on its own is not sufficient to fulfil the human rights requirements under the EU Charter to legitimise prohibitions of speech to be 'prescribed by the law' (art 52 of the EU Charter of Fundamental Rights). See the excellent article on the rule of law requirement in this context by Graham Smith, 'Online Harms and the Legality Principle' (*Cyberleagle*, 20 June 2020) <<https://www.cyberleagle.com/2020/06/online-harms-and-legality-principle.html>> accessed 5 September 2023 ('the regulator's views about harm would sit alongside, and effectively supplant, the existing, carefully crafted, set of laws governing the speech of individuals'). For further discussion, Chapter 13.

⁴⁷ Saulius Kaleda, Paul-John Loewenthal, and Folkert Wilman, *Digital Services Act: Commentary* (forthcoming, OUP 2024) § 35 (C:10) noting that 'the obligation to take risk mitigation measures cannot, in principle, be a way to force providers to contractually prohibit certain information that does not qualify as illegal content'.

simply can be understood as a reference to other obligations, such as ease of reading, or their accessibility that matter for Article 14. The 2023 Disinformation Report invokes Recital 84, which states:

When assessing the systemic risks identified in this Regulation, those providers should also focus on the information which is not illegal, but contributes to the systemic risks identified in this Regulation. Such providers should therefore pay particular attention on how their services are used to disseminate or amplify misleading or deceptive content, including disinformation.⁴⁸

However, focusing on legal content as a risk factor under Article 34 is a different matter than having an obligation to intervene against such content in a content-specific way under Article 35. The measures mentioned in Recital 84, such as ‘design and functioning of their service’, ‘coordinated manipulation and use of their services’, or ‘the inauthentic use of the service, such as the creation of fake accounts, the use of bots or deceptive use of a service, and other automated or partially automated behaviours’, all point toward content-neutral interventions that are based on the authenticity of human expression and not on contents of those expressions. Other interventions mentioned by the DSA in Article 35 are either content-neutral or relate to illegal content. The Commission’s own FAQ states the following about the DSA:

How can harmful but not illegal content be effectively addressed? *To the extent that it is not illegal, harmful content should not be treated in the same way as illegal content.* The new rules will only impose measures to remove or encourage removal of illegal content, in full respect of the freedom of expression.⁴⁹

The limited risk management approach can be best explained through an analogy with managing risks during public protests. Imagine a public assembly speaking against immigration policies gathering in the streets of a city. The role of providers can be analogised to the position of protest organisers—they do not control individuals, but bring crowds together. The DSA designates the largest services in the EU to be such controlled public spaces;⁵⁰ it tasks the providers to analyse risks created by crowds, and intervene if needed.

What is the role of the state, and correspondingly a provider, in such a case?

⁴⁸ Emphasis mine.

⁴⁹ European Commission, ‘Questions and Answers: Digital Services Act’ (25 April 2023) <https://ec.europa.eu/commission/presscorner/detail/en/QANDA_20_2348> accessed 5 September 2023 (emphasis mine).

⁵⁰ The DSA Impact Assessment states: ‘This transforms such very large platforms into de facto public spaces for businesses to find consumers, for authorities, civil society or politicians to connect with citizens and for individuals to receive and impart information; Commission, “Impact Assessment” (Commission Staff Working Document) Accompanying the Document “Proposal for a Regulation of the European Parliament and of the Council on a Single Market for Digital Services (Digital Services Act) and Amending Directive 2000/31/EC”’ SWD(2020) 348 final, 9.

The state can impose safety measures on organisers and protesters to protect them from others, and others from them, to avoid causing harm to people, property, or businesses. Physical safety measures benefit freedom of expression because they make everyone more comfortable to express their views. To achieve this, the authorities can ask organisers to take various safety measures particularly to prevent illegal behaviour by protesters or counter-protesters, including the use of excessive disruption or noise. Beyond illegal modes of expression, the *authorities* cannot control who speaks or protests, what posters or chants they use, or where they present them. However, *organisers* of a protest can go beyond illegality, whatever their motivation. They can self-impose stricter rules on crowds.

Imagine now that the public assembly has two teams of rule enforcers, dressed in red and blue jackets. Red enforcers represent the state, and they can only intervene when protesters violate the red rules—conveying messages that are illegal, or violating content-neutral rules about things like crowding or volume. Blue enforcers are paid by the organisers. They are the analogue of content moderators. Because organisers want a legitimate assembly where families can gather, they may ask all its participants to respect some of their own basic rules. These blue rules differ from red rules. Among other things, they allow organisers to intervene much earlier. For instance, they can say that posters with profanities are not permitted because they are likely to lead to illegal behaviour.

For efficiency reasons, the authorities will expect blue enforcers to also enforce red rules. This is the analogue of delegated enforcement which providers engage in daily when they remove illegal content. However, red enforcers *cannot* enforce blue rules. Blue rules are the analogue of contractual self-constraint that platforms adopt to make their services appealing to users and advertisers. Red enforcers cannot turn the self-imposed ban on profanities against the organisers to end the protest, or arrest protesters. To justify such intervention, authorities must stick to the red rules. Logically, they cannot tell organisers what blue rules to adopt either, because that is the prerogative of parliaments.

The authorities can, however, require that if the likelihood of violence by protesters is high, then organisers must take extra measures to keep bystanders safe from further escalation. These extra measures are the analogue of design interventions on digital services. There is a growing literature arguing in favour of various design interventions that limit the speed at which information travels through the networks. Such circuit-breakers,⁵¹ friction-in-design⁵² or similar interventions,⁵³ are considered the 21st-century equivalent of content-neutral time, place, and manner restrictions of speech.⁵⁴

⁵¹ Daphne Keller, 'Amplification and Its Discontents' (*Knight First Amendment Institute at Columbia University*, 8 June 2021) <<http://knightcolumbia.org/content/amplification-and-its-discontents>> accessed 5 September 2023.

⁵² Brett Frischmann and Susan Benesch, 'Friction-In-Design Regulation as 21st Century Time, Place, and Manner Restriction' 25(2) *Yale Journal of Law & Technology* 376.

⁵³ Jonathan Stray, Ravi Iyer, and Helena Puig Larrauri, 'The Algorithmic Management of Polarization and Violence on Social Media' (*Knight First Amendment Institute at Columbia University*, 22 August 2023) <<http://knightcolumbia.org/content/the-algorithmic-management-of-polarization-and-violence-on-social-media>> accessed 10 September 2023.

⁵⁴ Frischmann and Benesch (n 52).

The interventions, such as placing limits on how users can communicate with others, find third-party content, or share their material outside of closed groups, incorporating negative feedback from users, or other design choices, are proposed to potentially limit the risky features of the digital services.

Time, place, and manner restrictions are commonly accepted types of restrictions in liberal democracies.⁵⁵ They allow legislatures and authorities to ‘manage’ risks of public gatherings without interfering unreasonably in the substance of their expressive purposes. Such rules regulate speech in a manner that minimises disruption of public space while still protecting expressive activities. Timothy Zick views such constraints as a ‘multi-layered and complex system of restrictions’ that constitutes a ‘framework of managed dissent’.⁵⁶

While providers organise protests not as part of their own expressions but as a business, they nevertheless do in fact bring together crowds and similarly orchestrate their gathering, and sometimes even direct expressions through recommender systems. As such, a provider’s involvement is much deeper than that of the owners of property where protests take place. The design of their public platforms, recommender systems, and the underlying rules of engagement, heavily influence how people can express themselves in their own little crowds (eg, the groups in which they gather) and on the main stage (eg, in the main recommender systems).

The goal of the measures that are imposed on protests should be an assembly that takes a form of peaceful protest. The authorities have a ‘duty to reflect on the possible alternative solutions and propose another venue to the organisers’.⁵⁷ In the United States, the organisers can be asked to pay a fee covering certain costs, or post bonds for potential damage caused by the protests.⁵⁸ The mass protests thus can cost organisers hundreds of thousands of dollars because they must provide the necessary protest infrastructure, such as tents, restrooms, medical care, etc.⁵⁹ Thus, even if it remains legal to express opinions in some riskier ways, such as through the burning of flags, the state is managing when and how this occurs.⁶⁰

The attempts by digital regulators to curb risks posed by lawful expressions by adopting content-specific measures can be analogised to police trying to prevent clashes during public assemblies by banning certain types of assemblies altogether (eg, banning pro-Palestinian or pro-Israeli assemblies for risks of escalated violence), instead of managing the risks of illegal modes of expressions during such assemblies.⁶¹ As recently emphasised by the ECtHR,

⁵⁵ For the ECtHR, *Primov and Others v Russia* App no 17391/06 (ECtHR, 12 June 2014), para 130 (‘it is not disputed that the domestic law permitted the authorities to regulate the manner, timing and location of public events, depending on the characteristics of the specific area at issue’). For the US, *Ward v Rock Against Racism* 491 US 781 (1989).

⁵⁶ Timothy Zick, *Managed Dissent: The Law of Public Protest* (CUP 2023) 35.

⁵⁷ *Primov and Others v Russia* (n 55), para 131.

⁵⁸ Zick (n 56) 51.

⁵⁹ *ibid* 54.

⁶⁰ *ibid* 44.

⁶¹ This is what recently happened in Germany, Deutschlandfunk, ‘Gericht kippt Verbot von pro-palästinensischer Demonstration’ (13 October 2023) <<https://www.deutschlandfunk.de/gericht-kippt-verbot-von-pro-palaestinensischer-demonstration-100.html>> accessed 19 December 2023.

It should be noted that an individual does not cease to enjoy the right to freedom of peaceful assembly as a result of sporadic violence or other punishable acts committed by others in the course of the demonstration if the individual in question remains peaceful in his or her own intentions or behaviour ... Even if there is a real risk that a public demonstration might result in disorder as a result of developments outside the control of those organising it, such a demonstration does not as such fall outside the scope of paragraph 1 of Article 11, and any restriction placed thereon must be in conformity with the terms of paragraph 2 of that provision.⁶²

15.4.2 What are the consequences for the Commission?

Consider a hypothetical situation in which the Commission has gathered clear evidence that a certain type of self-harm content that is lawful across the EU is highly damaging for adults because it increases eating disorders. Can the Commission simply request its ban be imposed across the terms and conditions of all the VLOPs and VLOSEs? In my view, the answer is no. So, what can the Commission do then? How should it approach such risks?

The Commission should always clarify if it is acting on the basis of illegal content (Article 34(1)(a)), even if this is *along* with the other three grounds, *or solely* on the basis of any of the other sub-categories (Article 34(1)(b)–(d)). If illegality is missing, the interventions should be more limited and follow a different sequence of escalation of mitigation actions (see Table 15.2).

For the Commission approaching legal content, empowerment and content-neutral design interventions are much less problematic than expecting visibility restrictions and content removals for specific legal content. The DSA offers no explicit legal test to demarcate how far the Commission may go. The only obvious limit is the adherence to human rights, the prohibition of general monitoring obligations, and the need to gather evidence to support its actions.

Daphne Keller offers a typology of de-amplification policies:⁶³ (a) illegal content policies, (b) harmful content policies, and (c) content-neutral policies. Of the three, the DSA arguably does not extend to (b) if we understand it to mean content that is legal. Keller's conceptualisation, informed by US constitutional law, offers very interesting ways to think about the content-neutral approach for legal content in a European setting. However, I would categorise the policies differently. For instance, de-amplification policies based on data protection, or media laws protecting children, should be in the category of illegal content policies and not harmful content policies. This is because, from my perspective, the distinguishing factor between illegal content policies (a) and harmful content policies (b) is the existence of a legal basis for a specific restriction.

⁶² *Lurijzen and others v The Netherlands*, App nos 56896/17, 56910/17, 56914/17, 56917/17, and 57307/17 (ECtHR, 21 November 2023), para 50 (generally relying on a Grand Chamber case, *Kudrevičius and others v Lithuania*, App no 37553/05 (15 October 2015)).

⁶³ Keller (n 51).

Table 15.2 Limits of the general risk management approach

Content type	Type		Priority by type of intervention	Examples
Illegal content (e.g., hate speech, terrorist content, child-abuse material)	Full risk management system	Limited risk management system	Content removal	<i>Removal of content</i>
			Complementary actions, such as visibility restrictions, redesign, or empowerment	<i>De-ranking or demonetization of a class of content, empowerment of users who view the content</i>
Empowerment			<i>Choices to customize the user experience; labels; fact-checking;</i>	
Content-neutral redesign of services			<i>Content sharing restrictions; introducing friction; changes in neutral proxies for recommender systems;</i>	
Legal content (e.g., some disinformation, sensitive, nude, vulgar, shocking content)		Content-specific visibility restrictions		<i>Targeted de-ranking of a legal class of content based on what it expresses</i>
		Content removal		<i>Contractually prohibiting specific legal expressions in terms and conditions</i>

The (c) category then represents a subset of policies against content in either of the two categories; however, it is restricted by the type of interventions that can apply.

If the typology is seen in this light, my argument for the DSA’s limited risk mitigation approach is that Articles 34–35 allow the Commission to take action against both types of content; however, for the latter, the interventions are only limited to interventions that Keller foresees in category (c). For me, this categorisation has less to do with the proportionality of the underlying policy as with its compliance with the rule of law due to sufficient legal basis.⁶⁴

To illustrate this, consider the protection of children on video-sharing services. European content laws have adopted a broad standard of harmful content that impairs ‘the physical, mental or moral development of minors’, such as pornography and gratuitous violence.⁶⁵ Such harmful content can be made available only ‘in such a way as to ensure that minors will not normally hear or see them’, including through selecting the time of the broadcast, age verification tools, or other technical measures. While the content per se is not illegal,⁶⁶ it is illegal for platforms to show it to minors under some circumstances. This, in turn, gives the Commission the ability to invoke illegality—even though conditional.

⁶⁴ For a similar view but grounded in the balancing, Saulius Kaleda, Paul-John Loewenthal, and Folkert Wilman, *Digital Services Act: Commentary* (forthcoming, OUP 2024) § 35 (section E) noting that removing, blocking, or disabling of access to legal disinformation is likely to be problematic from the viewpoint of freedom of expression.

⁶⁵ Audiovisual Media Services Directive (AVMSD), art 6a.

⁶⁶ Seen from this perspective, little of the content is illegal per se. Copyright laws also only impose constraints conditionally, as do many other areas of law.

If no comparable rule exists for adults, restricting such content would mean restricting legal content. Thus, for instance, if the content that promotes some problematic diets is not prohibited by any legal norm, the scope for acceptable interventions narrows. The ability of the regulator to demand interventions against risks posed by such lawful content should be limited first to empowering users, and if that fails, they should progress to impose other content-neutral policies, such as changes to how content is shared on platforms. This is what I called ‘the DSA’s red line.’⁶⁷ Content neutrality, however, does not immediately imply proportionality.

To summarise, the possible limiting test could be whether the mitigation measures targeting lawful behaviour impose content-neutral or content-specific restrictions. If the measures are content-neutral, the Commission is free to impose them as long as they are proportionate and otherwise in line with the DSA. If such restrictions are content-specific, they do not even have to be tested on proportionality, because they exceed the legal mandate given by the DSA. To return to my previous example of managing public protests, it would stop the Commission from blaming the lack of self-imposed restrictions on profanities against the providers as evidence of a violation of general risk management. However, it would allow it to scrutinise how the design features of the system, such as registration, or interfaces, escalate to illegal actions and generally affect the well-being of individuals.

In risk management under the DSA, especially when the risks are posed by legal content, it is critical to separate the *obligation to investigate risks* (Article 34) from the *obligation to mitigate risks* (Article 34). While the obligation to investigate is very broad, the obligation to mitigate is confined by legality and proportionality. For this very reason, joint screening of risks posed by legal and illegal content is possible, but for the formulation of the enforcement goals, the means must substantially differ:

- The risks posed by *illegal content* can have as their goal suppression of specific content (eg, ‘reduce hate speech within recommendations by X%’) because they are based on the legislature’s articulation of illegality; the selected means must remain proportionate, and thus cannot disproportionately impact other fundamental rights, including the freedom to share lawful expressions, as collateral damage.
- In contrast, where risks are posed *also by legal content*, the enforcement goal for mitigation measures should only take the form of content-neutral interventions (eg, ‘redesign sharing options for all content’) but not of content-specific measures (eg, ‘de-rank all incorrect information about diet XY’) due to missing legal mandate for suppression of such content. The selected content-neutral interventions must remain proportionate.

⁶⁷ Martin Husovec, ‘The Digital Service Act’s Red Line: What the Commission Can and Cannot Do About Disinformation’ [forthcoming, 2024] *Journal of Media Law*.

15.4.3 Freedom of companies to mitigate risks

The fact that the Commission cannot prescribe a content-specific intervention for risks posed by legal content does not mean, however, that the provider cannot freely adopt such measures. On the contrary, the provider is free to do so. The red line suggested above only applies to the European Commission as the sole enforcer of Article 35 DSA.

Since the companies mostly retain the freedom to design their policies to fit their business, they can naturally exceed the obligations that the European Commission can impose on them. Thus, for instance, even if the Commission might be unable to limit some type of disinformation or nudity, providers can decide to contractually restrict it anyway.

As a result, companies do not have to make as strict distinctions between legal and illegal content in their risk assessment and mitigation. However, it also means, that the metrics that are used to quantify compliance need to be treated with utmost caution because the vocabulary used by companies can differ substantially from legal definitions.

The key limit of providers' rule-making powers is Article 14(4) DSA and risk mitigation strategies that devolve some decision-making to individuals and groups (eg, an obligation to give choice in recommender systems or allow user-level moderation). I have explained the first point in Chapter 12. The second point is discussed in the next section.

15.4.4 Appraising, and allocating risks

Julia Black's work mapping reliance on risk-based regulation in financial services offers a number of lessons for how the technology industry might address risk mitigation. Under the DSA, the industry enjoys considerable discretion in how to structure its operations.

The first step is to recognise that the general risk management, in contrast to the DSA's command and control regulation side (with its detailed rules about the fairness of processes and design practices), requires a different mindset. In financial services, the same challenge exists between prudential regulation and business conduct regulation.⁶⁸ The Commission and responsible DSCs will have to undertake careful balancing of resources that they devote to each side of the DSA.⁶⁹

In practical terms, given the broadness of risk management, the industry will likely need to converge upon some solutions that compartmentalise the types of risks in order to track progress. In UK financial services, for instance, risk assessment leads to a firm-specific 'multidimensional risk picture' that relates to statutory objectives, such as

⁶⁸ Julia Black, 'The Development of Risk Based Regulation in Financial Services: Canada, the UK and Australia' (ESRC Centre for the Analysis of Risk and Regulation, LSE 2004) 27 <<https://www.lse.ac.uk/law/people/academic-staff/julia-black/Documents/black19.pdf>> accessed 5 September 2023.

⁶⁹ *ibid.*

consumer understanding, financial crime, etc.⁷⁰ These are then further developed into separate 'risks to objectives'.⁷¹ Each risk element of the firm is then scored according to each RTO, and then aggregated into an overall risk score.⁷² If any element cannot be scored due to a lack of information, the aggregate defaults into the medium/high region.⁷³

At the time of writing, the World Economic Forum had tried to come up with potential taxonomies of digital risk.⁷⁴ However, the resulting taxonomy does not map well into the categories of the DSA. It neglects risks to freedom of expression, data protection, or privacy—which are key considerations for the DSA. Moreover, with the explosion of the debate about AI-specific risks, several institutions developed notable approaches to risk management that can be transposed to the DSA. For instance, the US National Institute of Standards and Technology has developed an Artificial Intelligence Risk Management Framework that offers some interesting parallels.⁷⁵

In contrast, AlgorithmWatch, an NGO, developed a DSA-specific framework for assessing risks to media diversity.⁷⁶ Access Now, another NGO, published a general DSA risk assessment for fundamental rights.⁷⁷ Stiftung Neue Verantwortung, a think tank, developed a DSA-specific auditing framework for recommender systems.⁷⁸ Ada Lovelace Institute, another think tank, suggests methods for regulatory inspection of algorithmic systems on social media platforms.⁷⁹

Developing a DSA-specific taxonomy of risks is beyond the scope of this book. However, sub-categories of Article 34(1)(a)–(d) provide a good starting point. A potential taxonomy could break down these categories further (eg, risks to children, consumers, adults, etc) but would have to keep in mind that over-blocking, and surveillance, are two risks that are present across all the categories. Moreover, it needs to consider the primacy of illegal content as a type of risk, because the legitimacy to intervene and the ability to intervene is the strongest for these types of risks.

One of the big challenges for risk assessments will be how to treat the role of *individuals* in risk mitigation. Regulators will need to balance individual autonomy with the

⁷⁰ *ibid* 25.

⁷¹ *ibid*.

⁷² *ibid*.

⁷³ *ibid*.

⁷⁴ For the overview, Global Coalition for Digital Safety, 'Digital Safety Risk Assessment in Action: A Framework and Bank of Case Studies' (World Economic Forum 2023) <<https://www.weforum.org/reports/digital-safety-risk-assessment-in-action-a-framework-and-bank-of-case-studies/>> accessed 5 September 2023.

⁷⁵ NIST, 'AI Risk Management Framework' (NIST Information Technology Laboratory, 12 July 2021) <<https://www.nist.gov/itl/ai-risk-management-framework>> accessed 5 September 2023.

⁷⁶ Michelle Loi, 'Making Sense of the Digital Services Act: How to Define Platforms' Systemic Risks to Democracy' (Algorithm Watch 2023) <<https://algorithmwatch.org/en/making-sense-of-the-digital-services-act/>> accessed 5 September 2023.

⁷⁷ Eliška Pirková, 'Fundamental Rights Impact Assessments are key for effective DSA Enforcement' (Access Now, 18 September 2023) <<https://www.accessnow.org/fundamental-rights-impact-assessments-for-dsa-enforcement/>> accessed 5 September 2023.

⁷⁸ Anna-Katharina Meßmer and Martin Degeling, 'Auditing Recommender Systems' (Stiftung Neue Verantwortung 2023) <<https://www.stiftung-nv.de/de/publication/auditing-recommender-systems>> accessed 5 September 2023.

⁷⁹ Ada Lovelace Institute, *Technical Methods for Regulatory Inspection of Algorithmic Systems* (2021) <<https://www.adalovelaceinstitute.org/report/technical-methods-regulatory-inspection/>> accessed 5 September 2023.

allocation of risks to platforms. If risks are heavily centralised with platforms, this not only implies that individuals are more protected, but also that the risk mitigation measures must be mostly dictated by providers. Arguably, different individuals, including children, their parents, bystanders, content creators, or users, should be granted diverging levels of agency across the different types of risks that they encounter.

In Figure 15.2, I offer a hexagon as an illustration of how to think of risk allocation. Hexagon envisages six basic stakeholders who can be allocated risks along with VLOPs and VLOSEs: users, content creators, victims, bystanders, children, and their parents. Each of these stakeholders can exercise some level of care, and thus manage their own risks. Theoretically, there is a limit for each one of them in terms of the benefits and how much agency they can reasonably absorb in a way that is still conducive to their personal autonomy. Ideally, the Commission should try to maximise the optimal level of empowerment for each of the stakeholders by forcing companies to give them tools to manage their experience. For some stakeholders, such as children, the optimum might depend on age. For others, such as bystanders, on their type (eg, whether an NGO or an individual).

Once the optimal zone of empowerment is maximised for each stakeholder, the residual risks are absorbed by the VLOPs/VLOSEs. Empowerment effectively carves out

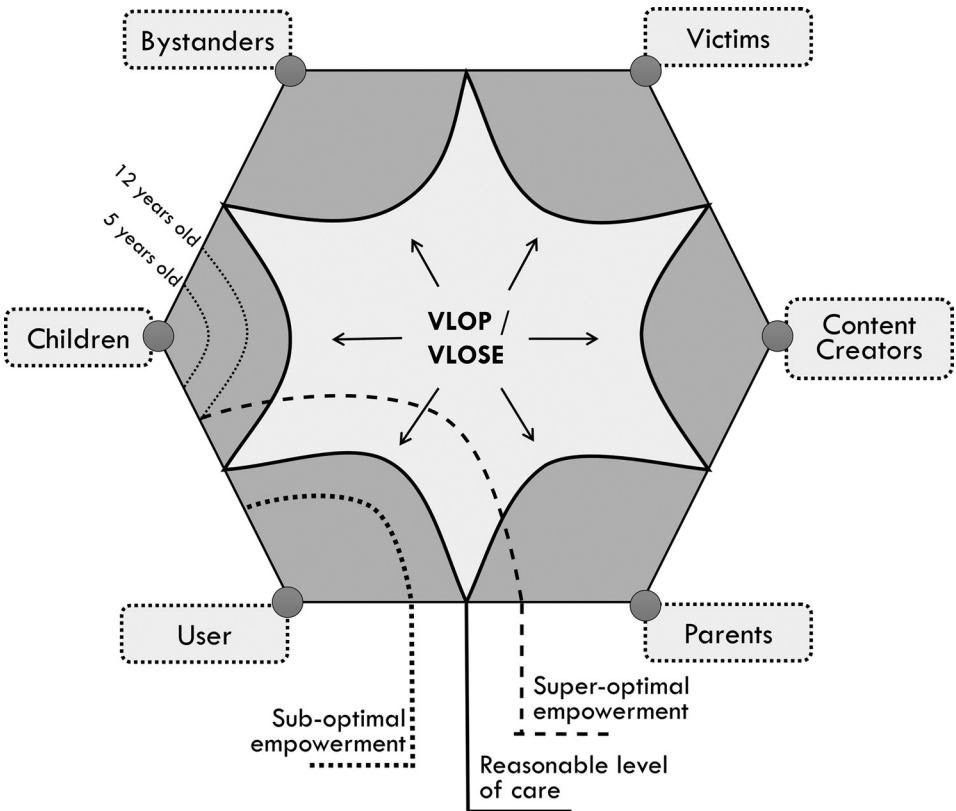


Figure 15.2 Risk distribution under risk management

some responsibility; it reallocates it from providers to individuals for the benefit of individual freedom. Because users often can only exercise as much agency as is granted to them by the design of services, they cannot be legally expected to do more than they are empowered to do.

Consider digital risks specific to children. According to existing research, children can be exposed to many types of risks online.⁸⁰ However, the occurrence of negative impact is influenced by their resilience and digital literacy.⁸¹ Only a quarter of European youth report having experienced something online that left them feeling bothered or upset.⁸² Online resilience—the ability to bounce back from online adversity—acts as a protective factor.⁸³ Through years of use, young users learn how to cope and gradually improve at adapting to future online stressors.⁸⁴ Social psychologists like Sonia Livingstone have been arguing for years that protecting young people from online risks is impossible ‘without also radically curtailing their online opportunities.’⁸⁵ The rationale that underlies this argument is the same one that explains why, in the offline environment, the design of playgrounds for children takes into account the need for children to learn. For instance, the European Committee for Standardisation’s (CEN) Child Safety Guidance states:

An essential part of the process of a child becoming an adult is the need, and desire, to explore limits and to try new experiences. Minor injuries are part of every child’s learning process and are a far more normal part of their lives than is the case for adults. This should be borne in mind when considering what levels of safety are reasonably practicable within the limits imposed by functionality and affordability. However, children require greater protection than adults against fatal or permanent injuries because they may not be capable of assessing the risks involved in potentially hazardous situations or may be too young to take responsibility.⁸⁶

The solution to the trade-off between opportunities and learning on one hand, and protection against risk on the other, is not unfamiliar to the design of the legal system. Law and economics scholars have been pointing out that legal institutions often intuitively try to prevent moral hazard—a situation where victims have reduced incentives to protect against risk because he or she is not fully exposed to the consequences of their own

⁸⁰ May O Lwin, Benjamin Li, and Rebecca P Ang, ‘Stop Bugging Me: An Examination of Adolescents’ Protection Behavior against Online Harassment’ (2012) 35(1) *Journal of Adolescence* 31.

⁸¹ Joyce Vissenberg, Leen d’Haenens, and Sonia Livingstone, ‘Digital Literacy and Online Resilience as Facilitators of Young People’s Well-Being?: A Systematic Review’ (2022) 27(2) *European Psychologist* 76.

⁸² David Smahel and others, ‘EU Kids Online 2020: Survey Results from 19 Countries’ (EU Kids Online 2020) <<https://www.eukidsonline.ch/files/Eu-kids-online-2020-international-report.pdf>> accessed 5 September 2023.

⁸³ Vissenberg, d’Haenens, and Livingstone (n 81) 2.

⁸⁴ John Coleman and Ann Hagell (eds), *Adolescence, Risk and Resilience: Against the Odds* (J Wiley & Sons Ltd 2007).

⁸⁵ Sonia Livingstone and Ellen Helsper, ‘Balancing Opportunities and Risks in Teenagers’ Use of the Internet: The Role of Online Skills and Internet Self-Efficacy’ (2010) 12(2) *New Media & Society* 309.

⁸⁶ European Committee for Standardization (CEN), ‘Child Safety – Guidance for Its Inclusion in Standards 2009’ (CENELEC 2009) CEN/CENELEC Guide 14 <<https://www.cencenelec.eu/media/Guides/CEN-CLC/cencclguide14.pdf>> accessed 6 September 2023.

actions. As pointed out by Tom Baker, the overarching question this poses across the legal system is: to what extent are those who suffer responsible for their condition?⁸⁷

For instance, European tort law accepts the principle of contributory negligence. According to Article 8.1.1 of Principles of the European Tort Law (PETL): ‘Liability can be excluded or reduced to such extent as is considered just having regard to the victim’s contributory fault and to any other matters which would be relevant to establish or reduce the liability of the victim if he were the tortfeasor.’⁸⁸ Thus, where a victim could act to reduce the damage, it should have done so; otherwise, the compensation owed can be reduced.

The argument for optimal precautions, as illustrated by the example of children, extends beyond the justification on the basis of avoidance of moral hazard. Taking risks is often part of learning and improves individual resilience. The legal system is dosing risks all the time. If speech is kept lawful, it is not only a constitutional imperative that the authorities do not curtail it specifically beyond parliamentary mandates, but also an expression of respect for people’s freedoms and autonomy.

As explained by Recital 40 DSA:

[Due diligence] obligations should aim in particular to guarantee different public policy objectives such as the safety and trust of the recipients of the service, including consumers, minors and users at particular risk of being subject to hate speech, sexual harassment or other discriminatory actions, the protection of relevant fundamental rights enshrined in the Charter, *the meaningful accountability of those providers and the empowerment of recipients and other affected parties*, whilst facilitating the necessary oversight by competent authorities.

Thus, ‘meaningful accountability of providers’ and ‘the empowerment of recipients and other affected parties’ are not presented as two opposites. Accountability answers the calls of individuals for more protection. However, this does not mean that as part of the programme of protection, individuals should not take some responsibility. Pre-DSA, such responsibility was often denied to individuals because it conflicted with companies’ profit motives; post-DSA, it should not be denied due to overzealous enforcement. The DSA aims to establish a digital environment worthy of people’s trust. Thus, they must be also trusted to decide whenever possible. To make sure that we understand how stakeholders experience their newly gained responsibilities, the regulators, together with companies, could periodically run longitudinal standardised surveys of the stakeholders’ views on matters such as trust, safety, and their experiences across the entire ecosystem of VLOPs/VLOSEs.

⁸⁷ Tom Baker, ‘On the Genealogy of Moral Hazard’ (1996) 75(2) Texas Law Review 237.

⁸⁸ European Group on Tort Law, ‘Principles of European Tort Law (PETL)’ <<http://www.egtl.org/PETLEnglish.html>> accessed 4 September 2023.

16

Transparency

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16.1 Introduction

Light has disinfectant properties. Although it might not be the best disinfectant for everything, its power is universal once cast. The same can be said about transparency. While the Digital Services Act's (DSA) transparency rules are framed as obligations observing the business of platforms, they are not actually about platforms. They are about *us*—the individual users of those platforms. When people voice their views in pubs or public squares, anyone can observe. If they do so in pseudo-anonymous chatrooms, it is less likely. Such data is suddenly *proprietary*, as it is amassed by the digital gatekeepers that operate chatrooms, newsfeeds, social media, and other services. Without transparency, we are in the dark about what is happening within our societies.

Consider the recent United States (US) lawsuit initiated by X (formerly Twitter) against the Center for Countering Digital Hate (CCDH), a non-profit organisation that tracks hate speech on social platforms.¹ X complains about researchers scraping its proprietary data to study societal risks. Its real purpose is to shut down any independent monitoring of its services to be able to woo back its concerned advertisers. Amazon's legal case against its designation as a very large online platform (VLOP) was potentially motivated by the possibility of temporarily suspending the obligation to create advertising archives.² There is no doubt that meaningful transparency undermines some of the practices that the companies would engage in otherwise. If companies are allowed

¹ *X Corp v Center for Countering Digital Hate Inc*, No 3:23-cv-03836 (ND Cal)

² Case T-367/23 R *Amazon Services v Commission* ECLI:EU:T:2023:589.

to protect their commercial interests via data ownership aggressively, a lot of important research can be put at risk, and everyone will be in the dark about what is happening in the digital environment.³

To protect research, the DSA must think about the data access questions extraterritorially. If global non-governmental organisations (NGOs) can be sued for their DSA-endorsed analytical work outside of Europe, researchers might be discouraged from undertaking legally risky evaluations of how digital services pose risks to society at large. While the DSA transparency reports are a step forward, they do not provide the granular data needed to assess product-specific problems. Transparency reports only provide a rear-view mirror of what has transpired in society. To see forward, researchers' access to data is key.

Prior to the DSA, civil society and providers tended to negotiate the scope of transparency. The Santa Clara Principles were the most influential.⁴ The principles largely envisaged what the DSA now delivers as binding rules. Its success is reflected in the fact that all major US platforms today issue some form of transparency reports.⁵ Apart from the Santa Clara Principles, some other transparency tools, such as Harvard's Lumen Database,⁶ directly inspired the European Commission in its DSA proposal.⁷ Thus, undoubtedly, the DSA builds upon many years of voluntary disclosure and even attempted regulation in this area. For instance, the German hate speech law (NetzDG) that preceded the DSA also mandated certain transparency reporting, although with mixed results as to its actual usefulness, partly due to reliance on idiosyncratic methodologies.⁸

The early European legislation tended to omit rules on transparency. Only recently have the newly introduced Terrorist Content Regulation (TCR) (2021) and Child Sexual Abuse Regulation (2021) envisaged some transparency reporting by relevant actors.⁹ The lack of transparency was sometimes remedied by voluntary reporting by companies, such as when Google published reports about the newly created right to be delisted from the search results.¹⁰

³ Vittoria Elliott, 'How X is Suing Its Way Out of Accountability' *Wired* (15 August 2023) <<https://www.wired.com/story/twitter-x-cdh-lawsuit-data-crackdown/>> accessed Joshua A Tucker and Nathaniel Persily (eds), *Social Media and Democracy: The State of the Field, Prospects for Reform* (CUP 2020).⁵ September 2023.

⁴ 'Santa Clara Principles on Transparency and Accountability in Content Moderation' (*Santa Clara Principles*) <<https://santaclaraprinciples.org>> accessed 3 September 2023.

⁵ For the pre-DSA situation, Daphne Keller and Paddy Leerssen, 'Facts and Where to Find Them: Empirical Research on Internet Platforms and Content Moderation' in

⁶ 'The Lumen Database' (*Lumen Database*) <www.lumendatabase.org> accessed 3 September 2023.

⁷ Commission, 'Proposal for a Regulation of the European Parliament and of the Council on a Single Market for Digital Services (Digital Services Act) and Amending Directive 2000/31/EC' COM(2020) 825 final, art 17(5): ('Online platforms shall ensure that the decisions, referred to in paragraph 4, are not solely taken on the basis of automated means.')

⁸ Heidi Tworek and Paddy Leerssen, 'An Analysis of Germany's NetzDG Law' [2019] Working paper of the Transatlantic High Level Working Group on Content Moderation Online and Freedom of Expression <https://www.ivir.nl/publicaties/download/NetzDG_Tworek_Leerssen_April_2019.pdf> accessed 6 September 2023.

⁹ Arts 7 TCR, and 8–9 European Parliament and Council Regulation (EU) 2021/1232 on a temporary derogation from certain provisions of Directive 2002/58/EC as regards the use of technologies by providers of number-independent interpersonal communications services for the processing of personal and other data for the purpose of combating online child sexual abuse [2002] OJ L274/41 (Child Sexual Abuse Regulation).

¹⁰ Theo Bertram and others, 'Five Years of the Right to be Forgotten', *Proceedings of the Conference on Computer and Communications Security* (2019).

Going forward, the DSA will likely transfer reporting behaviour into one of the general safeguards of any delegated enforcement in the digital environment. The reason is that as a horizontal measure, it applies in all areas of the law where illegality leads to content moderation. Thus, even if specific areas do not think of transparency, the DSA serves as a back-up set of default safeguards.¹¹

The DSA transparency obligations create important data points for scrutiny regarding content moderation and risk mitigation practices by digital service providers. In their totality, they unveil many parts of previously impenetrable services for outsiders. The DSA increases the obligations incrementally according to a services' categorisation. The lowest level of universal transparency obligations is expected of all hosting, caching, and mere conduit services. The next level of advanced obligations is expected from hosting services that qualify as online platforms. Finally, VLOPs and very large online search engines (VLOSEs) are subject to special transparency obligations.

16.2 Access to Data of VLOPs/VLOSEs (Article 40)

Researchers are given an important role in the DSA. They help identify what counts as a risk. In effect, they formulate the agenda for the regulators and providers of digital services. They also monitor and assess those risks, their causes, and contributing factors, and suggest ways to mitigate them. Their suggestions are directly relevant to providers' compliance with the DSA.

To be able to do so, they get special access to data under the DSA, which cannot be easily refused. The DSA has changed the norm: now researchers pick their projects and platforms, not the other way around. Once their research demonstrates evidence of particular risks and their causes or suggests a way forward, it cannot be ignored (by providers or regulators) either. However, researchers need time and money to do this properly. Moreover, researchers act as a check on the abuse of power by the regulators. They hold regulators' legal demands and actions to account in line with what science says, not what politics finds convenient.

Unlike in other sectors, under the DSA, the relevant risks are to individuals, communities, and society at large—basically, everything we cherish. Starting from scratch can overwhelm and disorient regulators as to what the enforcement priorities should

¹¹ At the time of writing, transparency is hotly debated in other jurisdictions, such as the US. For instance, the 'Platform Transparency and Accountability Act' is a bipartisan bill that is currently being discussed. See Laura Edelson, 'Platform Transparency Legislation: The Whos, Whats and Hows' (*Lawfare*, 29 April 2022) <www.lawfareblog.com/platform-transparency-legislation-whos-whats-and-hows> accessed 6 September 2023. Many state and federal bills are trying to introduce some form of transparency to content moderation or other practices of online platforms. The US Supreme Court might soon hear a case about the permissible scope of general and individual transparency rules that can be imposed on platforms in the context of content moderation in several pending cases concerning two state bills (*NetChoice & CCIA v Paxton* No 1:21-cv-00840 (WD Tex) (1 October 2021) and *NetChoice & CCIA v Moody* No 4:21-cv-00220 (ND Fla) (30 June 2021)). It is likely that at least some of the DSA-style rules will be seen as unconstitutional if the Court is taken up, see Daphne Keller, 'Platform Transparency and the First Amendment' [2023] Stanford Cyber Policy Center <<https://www.ssrn.com/abstract=4377578>> accessed 6 September 2023.

be and how to deal with them. And this is where researchers are key. Researchers' tool-kits and literature reviews¹² can become incredibly important.

Researchers have two broad data access tools: (a) project-based access to data held by providers (privileged access to data), and (b) general access to public data held by providers. In addition, regulators have their own routes for data access to assess the DSA compliance. Table 16.1 depicts the options.

The DSA does not explicitly limit access to either type of data to only European researchers. However, because of the requirement to assure data protection, security, and confidentiality, the data flows from outside of the European Union (EU) can be complicated by the General Data Protection Regulation (GDPR).¹³

16.2.1 Privileged access to data for vetted researchers (Article 40(4)–(11))

For privileged access to data, the DSA creates a system of vetting researchers who are granted project-based access to data (Article 40(8)). The access requests are issued by the Digital Services Coordinators (DSCs) of the establishment upon a duly substantiated application from the researchers.¹⁴ Given that many VLOPs and VLOSEs are established in Ireland, this will be often the Irish regulator.¹⁵

To qualify as a vetted researcher, the persons must be:

- a) affiliated with a research organisation,¹⁶ including an NGO;¹⁷
- b) independent from commercial interests;
- c) disclose any relevant funding;
- d) have capabilities to assure data security, confidentiality, and personal data protection;

¹² For an example of a toolkit for disinformation, see Anastasia Kozyreva and others, 'Toolbox of Interventions Against Online Misinformation and Manipulation' (16 December 2022) <<https://interventiontoolbox.mpib-berlin.mpg.de/index.html>> accessed 6 September 2023.

¹³ On the latest situation, see Robert Maddox and others, 'Take Three: New European Adequacy Decision Gives Green Light to EU-U.S. Data Protection Framework' (*Debevoise Data Blog*, 31 July 2023) <<https://www.debevoisedatablog.com/2023/07/31/take-three-new-european-adequacy-decision-gives-green-light-to-eu-u-s-data-protection-framework/>> accessed 6 September 2023.

¹⁴ The application can be also made in the country of the researcher's institution but it will be transmitted to the DSC of the establishment anyway, see the DSA, art 40(9).

¹⁵ Mathias Vermeulen, 'Researcher Access to Platform Data: European Developments' (2022) 1(4) *Journal of Online Trust and Safety* 4.

¹⁶ Art 40(8)(a) together with art 2, point 1 Copyright in a Digital Single Market (CDSM) Directive: "research organisation" means a university, including its libraries, a research institute or any other entity, the primary goal of which is to conduct scientific research or to carry out educational activities involving also the conduct of scientific research: (a) on a not-for-profit basis or by reinvesting all the profits in its scientific research; or (b) pursuant to a public interest mission recognised by a Member State; in such a way that the access to the results generated by such scientific research cannot be enjoyed on a preferential basis by an undertaking that exercises a decisive influence upon such organisation;

¹⁷ Rec 97 seems to interpret the definition for the purposes of the DSA as allowing the NGOs to qualify as research organisations: 'a research organisation within the meaning of Article 2 of Directive (EU) 2019/790, which may include, for the purpose of this Regulation, civil society organisations that are conducting scientific research with the primary goal of supporting their public interest mission.'

Table 16.1 Types of data access

Article 40 DSA	Privileged access to data (Art 40(4)–(11))	Public data (Article 40(12))	Regulator's access (Art 40(1)–(3))
Beneficiaries	Vetted researchers	Any 'researchers'	DSA authorities
Sources of data	VLOPs and VLOSEs	VLOPs and VLOSEs	VLOPs and VLOSEs
Flexibility of access	Project-based	General-purpose access	Necessity for regulators
Speed of access	Slower (in months)	Faster	Faster
Eligible purposes	(1) detection, identification and understanding of systemic risks in the EU; (2) assessment of adequacy, efficiency and impacts of risk mitigation measures	detection, identification and understanding of systemic risks in the EU	Monitoring and assessment of compliance with any DSA obligation
Required affiliation	Affiliation with an entity anywhere in the world devoted to scientific research that operates: (a) on a not-for-profit basis or reinvests all the profits in its research; or (b) pursuant to a public interest mission recognised by an MS	Researchers from anywhere in the world, including those working for non-profits, charities, think tanks, consumer groups, journalists, etc.	Digital Services Coordinator of provider's establishment, or the European Commission
Procedure to obtain access	DSC approval process for projects	None	Reasoned request
Conditions for use of data in teams	Use within the scope of the approved project and among its members	Use for any own research purpose, and sharing with any other eligible researchers	Use to monitor and assess compliance within the regulator's powers
Explicit funding, access and publication requirements	GDPR, data security and confidentiality safeguards; independence from commercial interests; funding disclosure; free of charge publication;	GDPR, data security and confidentiality safeguards; independence from commercial interests; funding disclosure;	Balancing the regulatory needs with the rights of others

- e) explain how the data access is necessary and proportionate given their methodology and research questions;
- f) fulfil at least one of the DSA's accepted purposes (detection, identification, and understanding of systemic risks or assessment of the risk mitigation measures); and
- g) committed to making the research results publicly available free of charge.

The access to researchers can be granted only 'for the sole purpose of conducting research that contributes to the detection, identification and understanding of systemic

risks in the Union', including 'the assessment of the adequacy, efficiency and impacts of the risk mitigation measures' (Article 40(4)). Vermeulen referred to these two functions of researchers as 'pathfinders' and 'quasi-auditors'.¹⁸

Given the scope of the DSA's covered threats, the provision has a much broader impact than offering only an opportunity to conduct some parallel external audits. It invites scientists to come and scrutinise the most significant platforms to better understand the systemic risks and how to effectively approach them. The provision is a giant subsidy to social sciences which otherwise have to collect their own data, and find research subjects. While the scope of access to data is limited to the DSA's regulatory remit, it is clear that through understanding risks to individuals, communities, and society at large, we also advance our understanding of people in their social interactions. The close linkage to regulatory purposes also means that the research must be limited to issues within the EU. It is thus not possible to only gain access to study risks specific to the Global South. However, the issues studied can be universally applicable, and the insights gained are also useful for other jurisdictions. It should also be possible, for instance, to use non-European settings as control groups for the EU-focused studies. Finally, the Codes of Conduct can extend the reach of the data access provisions and 'non-EU' issues.

With the privileged access, the hope is that researchers eventually formulate an agenda for the risk-assessments, methods of capturing various risks, and reflect upon various ways to mitigate them. Article 40 is thus designed as a crucial accountability tool because it makes providers accountable not only to the state authorities but also to science. While the authorities might be temporarily deaf to scientific evidence, providers should listen to it very carefully for the sake of their own compliance; science and evidence, after all, is also a check on authorities and auditors.

The access to data can take various forms. Recital 97 highlights that data access requests could cover questions like 'the number of views or, where relevant, other types of access to content by recipients of the service prior to its removal by the providers'. The DSA does not limit the compliance only to the type of data that the platform already has in a ready-made dataset. Thus, a certain amount of data collection and preparation is implied in the DSA's data access regime.

Each data access request is submitted by researchers to the DSCs. They can either directly submit to the DSC of the provider's establishment or the DSC of their affiliation. In either case, the DSC of the provider's establishment decides about the request. The DSC then forwards each data access request to providers who can propose to modify it within 15 days. However, they can propose amendments only on two grounds: (a) if they 'do not have access to the data', or (b) if 'giving access would lead to significant vulnerabilities in their security or the protection of confidential information, in particular trade secrets' (Article 40(5)). In both situations, they must be constructive and propose alternative means of access which the researchers could use in

¹⁸ Vermeulen (n 15) 3.

their projects. Ultimately, the DSC of the establishment decides whether to modify the access request or not.

For the ground of modification under Article 40(5)(b) regarding confidential information, the compromise is that while access is allowed, the researchers are required to observe applicable laws, including trade secrecy and data protection laws, when reporting their results. However, these laws often include considerations of legitimate research interests in their statutory designs. As such, the trade secrecy defence cannot be relied upon to trump legitimate research projects. Indeed, Recital 97 also makes it clear that purely ‘commercial interests of providers should not lead to a refusal to provide access to data necessary for the specific research objective’. The research of the relevant risks is thus given priority over absolute commercial secrecy.¹⁹

Moreover, access to data according to Article 40(4) does not immediately mean that trade secrecy rights are endangered. Trade secrecy does not mean no one outside the company can see the information. If this were true, licensing agreements with business partners would be impossible without destroying secrecy. Trade secret rights are preserved as long as ‘it has been subject to reasonable steps under the circumstances, by the person lawfully in control of the information, to keep it secret’.²⁰ In practice, this usually means asking such parties to sign non-disclosure agreements.

Thus, to even have a conversation about rejection based on Article 40(5)(b), VLOPs/VLOSEs must explain why the non-disclosure agreements are not sufficient to solve the risk of public disclosure. Only if this is convincing can the provision be relied upon. As a result, it should be expected that VLOPs/VLOSEs might require researchers to sign non-disclosure agreements regarding certain aspects to preserve their protection of trade secrets. Such agreements are, however, very sensitive because they can endanger academic integrity. The regulators, including the European Commission, should try to standardise such agreements to prevent VLOPs/VLOSEs from using their bargaining position to impose undue conditions. One can borrow from existing practices in the area of court-appointed experts (eg in competition cases) who are often asked to receive sensitive information from firms to produce their assessments. However, the DSCs should be aware that protection claims can sometimes be overstated. The companies’ reflex is to try to protect factual secrecy over algorithms, data or components; however, often those components have little chance to be also protected legally by trade secrecy laws.²¹

If the vetted researchers fail to live up to the above requirements of trust, the DSC of the provider’s establishment can terminate their status (Article 40(10)). The European

¹⁹ For a comprehensive report on data access under the DSA, see Laura Edelson, Inge Graef, and Filippo Lancieri, ‘Access to Data and Algorithms: For an Effective DMA and DSA Implementation’ (CERRE 2023) <<https://cerre.eu/publications/access-to-data-and-algorithms-for-an-effective-dma-and-dsa-implementation/>> accessed 6 September 2023.

²⁰ European Parliament and Council Directive (EU) 2016/943 on the protection of undisclosed know-how and business information (trade secrets) against their unlawful acquisition, use, and disclosure [2016] OJ L 157/1, art 2(1)(c).

²¹ See Sharon K Sandeen and Tanya Aplin, ‘Trade Secrecy, Factual Secrecy and the Hype Surrounding AI’ in Ryan Abbott (ed), *Research Handbook on Intellectual Property and Artificial Intelligence* (Edward Elgar (forthcoming)) <<https://papers.ssrn.com/abstract=3929928>> accessed 6 September 2023.

Commission and the Board will have been collecting the names of vetted researchers and descriptions of their projects, including those whose status was previously terminated.

The European Commission is also empowered to adopt a delegated act within five years of the DSA's entry into the force (Article 87). Such delegated acts can further specify technical conditions addressing access to data and addressing important compliance questions (Article 40(13)). The data access rules also form parts of the Codes of Conduct, such as the Code of Conduct on Disinformation, which have regulatory relevance too.²²

The clear disadvantage of privileged access to vetted researchers is its limitation to project-based investigations. Without prior access to data, it might be hard to properly formulate research projects. The risk is that the vetting process is conceived too formalistically and pushes researchers to construe very narrow research questions, thus not allowing any changes in the research trajectory. If the researchers are forced to resubmit numerous requests to reflect the inherently iterative character of the research, it can not only slow down the researchers but also discourage them from using the tool. Thus, the delegated acts must carefully calibrate the requirements to avoid being too prescriptive. The DSCs might borrow some procedures from the elaborate European grants systems that allow more risk-taking by the researchers, such as European Research Council grants.

Any disputes about the scope of Article 40(4) requests are going to be losing battles for researchers. If VLOPs/VLOSEs start seeking judicial review of the data access grants, the system can be slowed down to the point of complete uselessness. To avoid this, amicable and fast resolution of disputes should be preferred. Article 40(13) allows the Commission to create 'independent advisory mechanisms in support of sharing of data'. This mechanism could also help with the informal resolution of disputes. It should be composed of specialised lawyers, ethicists, and leading social scientists, including data scientists, who can provide amicable resolution of any disputes by providing advisory opinions. The Commission might encourage its use in the delegated act by allowing parties or regulators to initiate such opinions in controversial or difficult cases before proceeding to the final decision, according to Article 40(8).

Article 40(13) empowers the European Commission to specify 'technical conditions' regarding the privileged data access by vetted researchers, including on issues such as 'relevant objective indicators, procedures and, where necessary, independent advisory mechanisms in support of sharing of data'. Thus, the DSA foresees the emergence of additional structures of advisory mechanisms that could help the DSCs when assessing research projects, including compliance with data protection, security, and confidentiality.

The Achilles heel of researchers as agents of public interest lies in funding their work. The researchers engaging in such data-intensive projects need money to conduct them properly and independently. If the only funding available to do research comes from

²² For more detail, see Vermeulen (n 15).

the industry, even remotely, we have a problem. European academia needs specific grants for researchers who want to use the data opened up by the DSA. However, the financial support must be equally independent of the authorities that act as regulators. Researchers cannot act as a check on the abuse of state power exercised by regulators if they also need funding from the same authorities.

Researchers also play another role in the DSA's design. The more robust their evidence, the less need for regulators to demand data access. Because digital platforms store a lot of sensitive information about individuals and their mutual interactions, keeping the state from accessing such data protects individuals' privacy. This is another reminder of why digital services regulation cannot employ the same approach to data handling that regulators take when dealing with chemicals or food. There, the key consideration is trade secrecy. With online platforms, it is user privacy, data protection, and freedom of expression. The DSA's design empowers researchers to reduce the need for state powers to exercise as close oversight directly as is customary in other areas. This is not only a result of the resource constraints of authorities, but also of the sensitive nature of the data and risks being studied.

16.2.2 Access to public data (Article 40(12))

To complement the privileged access tool, the DSA also considers the role of publicly available data that is already often mined and studied by researchers. This data already disclosed to the public by platforms and their users is usually accessible through various interfaces. The provision was inspired by Crowdtangle,²³ a tool that independently tracks how user-generated content spreads around the web. Such data aggregation tools often serve various stakeholders enforcing their rights or by providing insights into how content travels from one service to another. For researchers, the tool helps to aggregate what is going on in the digital public sphere, such as on social media, thus providing a kind of real-time pulse of the web.²⁴

Article 40(12) foresees access to such publicly accessible data, which often includes real-time data from social media or video-sharing platforms. The provision grants access to a broader set of 'researchers' than those eligible to become 'vetted'. Recital 98 explains the provision as follows:

In addition, where data is publicly accessible, such providers should not prevent researchers meeting an appropriate subset of criteria from using this data for research purposes that contribute to the detection, identification and understanding of systemic risks. They should provide access to such researchers including, where technically possible, in real-time, to the publicly accessible data, for example on aggregated

²³ *ibid* 5.

²⁴ Casey Newton, 'Facebook Buys CrowdTangle, the Tool Publishers Use to Win the Internet' *The Verge* (11 November 2016) <<https://www.theverge.com/2016/11/11/13594338/facebook-acquires-crowdtangle>> accessed 6 September 2023.

interactions with content from public pages, public groups, or public figures, including impression and engagement data such as the number of reactions, shares, comments from recipients of the service.

The goal is thus clearly to extend the scope of access to data provisions to researchers who cannot be become vetted for specific research projects but who build or use real-time tools from the already publicly accessible data, such as feeds of social networks. While Article 40(12) is worded as a 'shall' provision, the recital seems to emphasise mostly the defensive dimension, ie that providers may not shut down or obstruct such analytical tools. Article 40(12) does not seem strong enough to force the companies to build such a tool for the research community. However, if advertisers already benefit from some such tools, Article 40(12) would seem strong enough to ask providers to extend such tools to researchers. In practice, where data is publicly accessible, researchers can build their own tools to scrape and analyse the content. However, doing so might be very expensive; thus, ready-made tools others provide are crucial. Providers often try to impose technical constraints on scrapping tools operated by researchers or other companies or use legal threats based on intellectual property rights to stop them.

Article 40(12) acts as a *sword* and a *shield*. As a shield, it provides a legal defence to unjustified attempts to shut down access because it acts as a *lex specialis* to the rights of providers.²⁵ As a sword, it provides researchers with a claim against obstructing access to publicly available data.

The use as a shield is important for any litigation that providers might initiate against researchers, such as on the basis of violations of sui generis database protection rights, copyright law, technical protection measures, unfair competition law or contract law.²⁶ Article 40(12) of the DSA here goes beyond Articles 3–4 of the Copyright in the Single Digital Market (CDSM) Directive that equally permits some forms of data mining, including for research purposes.²⁷ Any litigation trying to shut down these activities or tools is pre-empted by the provision, as long as its conditions are met. Article 40(12) thus acts as a safe harbour against other areas of law.

The use as a sword is crucial when providers use technical restrictions, such as blocking Internet Protocol (IP) addresses or reliance on captchas, that are clearly meant to frustrate access by researchers. It allows them to rely on the DSA to lift technical restrictions that are seen as illegitimate obstacles to data access, or at least to obtain special 'scraping exceptions' from these technical restrictions.

²⁵ A similar analogy is presented by Paddy Leerssen, 'Seeing What Others Are Seeing: Studies in the Regulation of Transparency for Social Media Recommender Systems' (PhD thesis, University of Amsterdam 2023) <<https://pure.uva.nl/ws/files/125112610/Thesis.pdf>> accessed 6 September 2023.

²⁶ See Martin Husovec, 'The End of (Meta) Search Engines in Europe?' (2014) 14(1) *Chicago-Kent Journal of Intellectual Property* 145. For after the change in case law, see Estelle Derclaye and Martin Husovec, 'Sui Generis Database Protection 2.0: Judicial and Legislative Reforms' [2021] *European Intellectual Property Review* (Forthcoming) <<https://papers.ssrn.com/abstract=3964943>> accessed 6 September 2023.

²⁷ See generally, Thomas Margoni and Martin Kretschmer, 'A Deeper Look into the EU Text and Data Mining Exceptions: Harmonisation, Data Ownership, and the Future of Technology' (2022) 71(8) *GRUR International* 685.

The eligible persons building or using the tools must be ‘researchers’ who use the data solely for studies that contribute to the detection, identification and understanding of systemic risks in the Union. Article 40(12) does not address how these researchers can further provide access to others. Presumably, any researcher could invoke the provision for access to data that is provided to them by other researchers. However, potential access by citizens is probably not possible. Article 40(12) incentivises researchers to build and maintain the tool only for other researchers. Thus, the public can learn from using such tools only through research publications.

The privileged access is limited to those eligible to become vetted researchers. The access to public data allows access by a broader set of researchers. Who exactly are such researchers under Article 40(12) is not further specified anywhere in the DSA. Thus, they can include persons who are *not* affiliated with a ‘research organisation’ within the meaning of the CDSM Directive.²⁸ This creates legal risks for any unaffiliated researchers, such as NGOs, who might decide to maintain or build a tool with access to public data of platforms. The European Commission should thus further clarify the concept.

The reliance on application programming interfaces (APIs) offered by online platforms has not been without problems.²⁹ The tools have their internal limitations and have been increasingly either shut down or made subject to high fees. The online platforms have been found to restrict access to APIs to selected researchers.³⁰ Some academics have also accused online platforms of potentially manipulating the data in APIs, and argued extensively that scraping techniques are necessary to identify potential instances of manipulation.³¹

Thus, while API access based on Article 40(12) should be further developed through Codes of Conduct, the researcher-initiated scraping should remain central. Scraping provides alternative access to public data regardless of what APIs or other tools are offered by providers. It is a technique important for the validation of any API-provided data sets. Moreover, scraping puts pressure on firms to create properly functioning APIs, and facilitates researchers explore the relevant risks before they formulate their requests pursuant to Article 40(4).

This fact is also underscored by the General Product Safety Regulation, which states that online marketplaces must ‘allow the scraping of [their platform] data only for product safety purposes based on the identification parameters provided by the requesting market surveillance authorities,’ including by removing the technical obstacles.³²

²⁸ Art 40(8)(a) DSA, read together with art 2(1) CDSM Directive.

²⁹ Axel Bruns, ‘After the “APocalypse”: Social Media Platforms and their Fight against Critical Scholarly Research’ (2019) 22(11) *Information, Communication & Society* 1544.

³⁰ See Nicolas Kayser-Bril, ‘AlgorithmWatch Forced to Shut down Instagram Monitoring Project after Threats from Facebook’ (*AlgorithmWatch*) <<https://algorithmwatch.org/en/instagram-research-shut-down-by-facebook/>> accessed 16 September 2023.

³¹ Jade Garcia Bourrée and others, ‘On the Relevance of APIs Facing Fairwashed Audits’ [2023] arXiv2305.13883 [cs.LG] 1.

³² European Parliament and Council Regulation (EU) 2023/988 on general product safety, amending Regulation (EU) No 1025/2012 and Directive (EU) 2020/1828, and repealing Directive 2001/95/EC and Directive 87/357/EEC [2023] OJ L135/1, art 22(12)(i) (General Product Safety Regulation).

The European Commission should encourage the research in the following ways:

- The delegated act should clarify that Article 40(12) is the backstop for any qualified researcher and that it covers scraping and highlights its exploratory value for Article 40(4).
- The European regulators should develop a detailed safe harbour for scraping according to Article 40(12), which specifies under what conditions scraping is manifestly legal and cannot be legitimately opposed by VLOPs and VLOSEs. This would not serve as an exhaustive statement of the law but would make IRB approvals much easier. The safe harbour could be adopted as an EC Guidance or a Code of Conduct.

The expanded scope of beneficiaries is particularly relevant to non-profit organisations, consumer groups, charities, investigative journalists, security researchers, etc. However, even researchers are subject to the requirement for their ‘independence from commercial interests’. This term, which can be further specified by the delegated act, limits both types of data access. The hint that this term should be construed narrowly is also clear from the fact that the broader set of researchers, according to Article 40(12), do not have to publish their results in freely accessible publications.³³ Thus, a journalist who use the tools to write an investigative story for their media outlet that is subject to a paywall would seem to still qualify. However, given that media owners are increasingly in legal rows with platforms about the licensing of their content, such journalists could also be seen as not independent from commercial interests.

In contrast to privileged access, access to public data remains a faster, more horizontal but less in-depth scrutiny tool. The main challenge here is to create tools which decrease the costs for researchers to access the data. Clearly, not every researcher has the skills and resources to set up their own tools or even comply with data protection, security, and confidentiality requirements. There is hope that universities will build specific infrastructure that researchers can use similarly to libraries that facilitate access to books and databanks. The same approach can be taken by consortia of investigative journalists, non-profit organisations, and think tanks. There is thus room for collaboration on building some intermediaries who set up tools to be used by different eligible individual researchers.

Finally, the obvious unresolved issue concerns data protection laws and how they will shape access to data by researchers. Recital 97 reminds us of the GDPR’s applicability and that ‘providers should ensure appropriate access for researchers, including, where necessary, by taking technical protections such as through data vaults’. Similarly, Recital 98 says that ‘providers and researchers should pay particular attention to the protection of personal data, and ensure that any processing of personal data complies with Regulation (EU) 2016/679. Providers should anonymise or pseudonymise personal data except in those cases that would render impossible the research purpose

³³ Art 40(12) drops the requirement art 40(8)(g).

pursued'. In other words, the DSA does not resolve exactly how data protection interests shall be resolved in practice. The data protection authorities will thus have to develop approaches that do not compromise the goals behind Article 40 which sufficiently safeguard the data protection rights of affected individuals.

16.2.3 Access to other data enabled by the DSA

It should be emphasised that data access is not limited to Article 40 DSA. Various transparency obligations discussed in this chapter further increase the scope of public data about regulated services. Transparency reports (Articles 15, 24, and 42) include rich and valuable information about content moderation decisions and the internal workings of companies running them. Archives for advertising (Article 39) track information about advertisers, their commercial communications, the duration of individual campaigns, and their audience, including ways in which they are targeted by advertisers. The fair design requirements, such as codification of content moderation rules, including notification of significant changes (Article 14), central collection of statement of reasons for each content moderation decision (Article 24(5)), or disclosure of the main parameters in the recommender systems, further improve the data collection capabilities of researchers. The auditing requirements also publish reports concerning how VLOPs and VLOSEs identify and mitigate risks. The DSA often anticipates researchers and their bots when upgrading obligations of various kinds to 'machine-readable'.³⁴

16.3 Transparency Reports

The transparency obligations in the DSA deal with three basic areas: content moderation, advertising, and user base. Content moderation is at the centre of transparency obligations. Advertising and user-base information are relevant for players who potentially qualify as VLOPs or VLOSEs.

16.3.1 Annual reports on content moderation (Article 15)

All intermediary service providers must issue annual reports that 'engage in any content moderation'. The DSA, however, uniquely exempts micro and small enterprises *if* their services do not qualify as VLOPs or VLOSEs.³⁵ It equally exempts those services which did not engage in any content moderation, both on its own initiative, and

³⁴ Arts 14(1), 14(5), 15(1), 22(5), 24(5), 31(3), and 55(1).

³⁵ Commission Recommendation of 6 May 2003 concerning the definition of micro, small, and medium-sized enterprises [2003] OJ L124/36.

Table 16.2 Universal transparency reports (Article 15 DSA)

	Content moderation activity	Mere conduits	Caching	Hosting
Universal obligations (Article 15)	Any orders from the EU Member States (Art 15(1)(a))	(1) absolute number of orders, categorised by: (2) type of illegal content, (3) issuing Member State, (4) median time for handling, and (5) taking the action		
	Notices sent by third parties (Art 15(1)(b))	Voluntary use and reporting		(1) absolute number of notices, (2) divided per types of illegal content, (3) absolute numbers for trusted flaggers, (4) actions taken based on ToS or law, (5) absolute number of automated decisions, and (6) median time for taking the action
	Any content moderation based on own investigations (Art 15(1)(c))	(1) absolute number of relevant restrictions, categorised by: (2) each restriction type, (3) detection method, (4) type of illegal content, (5) basis in ToS or law, and providing (5) other information concerning automated tools, training, and assistance to content moderation staff		
	Any internal appeals of content moderation decisions (Art 15(1)(d))	<i>At least:</i> (1) absolute number of internal appeals, (2) median time for taking the action, (3) absolute number of reversals; <i>for online platforms only:</i> categorisation by (4) the restriction type, and (5) basis in ToS or law		
	Any use of automation for content moderation (Art 15(1)(e))	<i>At least:</i> (1) qualitative description, (2) specification of the precise purposes, (3) indicators of the accuracy, (4) error rates and (5) any safeguards applied.		
	Any orders from outside the EU	No, voluntary reporting (however, if they affect accessibility in the EU, they should be disclosed under their own investigations).		

because it had not receive any requests to do so. Thus, an internet access provider, or messaging service that does not store any messages, could avoid issuing reports only if it received no requests to block websites or notices concerning such websites.³⁶ Engaging in content moderation, therefore, means both refraining from moderating content and also not being exposed to any requests to conduct content moderation by others. All the reports must be made publicly available in a machine-readable and easily accessible format on an annual basis. Given that content moderation not only relates to individual content but also user accounts and privileges, it is thus safe to say that most of the relevant regulated services will have to issue annual transparency reports (see Table 16.2).

³⁶ Given that providers of browsers could also qualify as mere conduits (ch 6), laws that allow blocking orders against browser operators would be subject to art 15 transparency disclosures. For a French example, Udbhav Tiwari, ‘France’s Browser-Based Website Blocking Proposal Will Set a Disastrous Precedent for the Open Internet’ (*Open Policy & Advocacy*, 26 June 2023) <<https://blog.mozilla.org/netpolicy/2023/06/26/france-browser-websites-blocking/>> accessed 16 September 2023.

The *orders* caught by Article 15(1)(a) are only orders issued by the Member State authorities. Orders issued by authorities outside the EU are not covered because they are generally presumed not to impact citizens in the EU. However, a special case might be orders with extra-territorial effects from outside of the EU. These orders produce effects in the EU although they were not issued by local authorities.

The *notices* received must be published only by hosting providers (Article 15(1)(b)). However, if mere conduits or caching providers act upon notices, from the DSA's perspective, they act without being obliged to do so. Thus, they must report such actions under their investigations. Notices are only an input for these investigations. The notices covered includes both notices sent on the basis of illegality or terms of service violations. The share of notices processed by automated means must also be noted.

What counts as a notice is not specified by the DSA. However, inferring from other uses of the term across the regulation, it is clear that the term is not about individual claims which are notified but rather the *message* in which they are notified. Thus, a single notice, can may put providers on notice concerning many items of content. This fact alone, which is hard to avoid, makes any simple benchmarking of numbers akin to the comparison of apples and oranges. For online platforms, any data reported in transparency reports can be analysed together with the EU database of statements of reasons that should give the public further insights into specifics of industry notification practices. The same insights, however, are not available for services other than online platforms, as they are either not obliged to issue a statement of reasons at all (caching and mere conduits), or do not have to report it (non-platform hosting services).

Similar obligations regarding notices likewise apply to the *internal appeals* concerning content moderation decisions submitted to providers (Article 15(1)(d)). However, here, the obligation applies equally to other intermediary service providers—those being caching and mere conduits. The reason is that these providers can equally engage in content moderation, although such behaviour is voluntary. If they do so, they must report it as their own investigations and the complaints to such decisions under the section dedicated to complaints. Naturally, online platforms subject to the most elaborate rules concerning content moderation have the most extensive obligations to report.

Any content moderation based on provider's own investigations—ie investigations where the provider exercises some discretion—must be further elaborated by qualitative description that offers meaningful and comprehensible information about the content moderation practices (Article 15(1)(c)). This includes information about content moderation professionals employed and their training. The qualitative information is complemented by numerous statistics, as summarised above. In this context, it is worth noting that the scope of relevant activities that qualify as content moderation is vast. It captures any activities 'aimed, in particular, at detecting, identifying and addressing illegal content or information incompatible with their terms and conditions, provided by recipients of the service' (Article 3(t)). Thus, demotion, de-ranking,

Table 16.3 Examples of transparency reports

Examples for each service	Mere conduits	Caching	Hosting
Any orders from the EU Member States (Art 15(1)(a))	<i>Identity disclosure orders or website blocking orders</i>	<i>Preservation orders, or service blocking or mandates</i>	<i>Identity disclosure and content removal orders, staydown-orders, or user-blocking-orders</i>
Notices sent by third parties (Art 15(1)(b))	N/A	N/A	<i>Removal requests sent to webhosts, social media, cloud-based messaging apps, or app stores</i>
Any content moderation based on own investigations (Art 15(1)(c))	<i>Detection activities concerning child abuse or piracy</i>	<i>Termination of services to some clients by CDNs</i>	<i>De-ranking of users or content in the recommendation systems or demonetisation of accounts</i>
Any internal appeals to content moderation decisions (Art 15(1)(d))	<i>Appeals to account suspensions</i>	<i>Appeals to account terminations</i>	<i>Appeals of notifiers or content creators on video-sharing platforms</i>
Any use of automation for content moderation (Art 15(1)(e))	<i>Detection tools for abuse on networks</i>	<i>Detection tools for abuse of services</i>	<i>Detection tools for abuse, or decision-assistance for human moderators, prioritisation tools</i>

demonetisation, removal, suspension, or termination all qualify as relevant activities, regardless of whether their basis is terms and conditions or illegality.

Finally, to round up the process of content moderation, all automated tools regardless of their content (detection, initial assessment or assistance, decisions, or complaints), must be qualitatively and, to the extent possible, also quantitatively described. The DSA's significant innovation is that it includes horizontal safeguards for many of these tools by forcing disclosure of error and accuracy rates, safeguards, and specification of purposes for which such technologies are used. This information will make important contributions in many areas, including in copyright law, where filtering technology is mandated in some cases (Chapter 18.3).

Table 16.3 provides an overview of typical orders falling under each of the sections.

Given that transparency obligations form part of due diligence obligations, for VLOPs, they form part of the audits. To enhance the usefulness of data points, the Commission is empowered to adopt implementing acts³⁷ laying down templates in which the above information is to be reported.³⁸ The first such implementation can be adopted only following the advisory procedure, and thus is unlikely to enter into effect before providers issue the first round of reports.

³⁷ TFEU, art 291.

³⁸ DSA, art 88(3).

16.3.2 Advanced reporting for online platforms and search engines (Article 24)

Online platforms are subject to elaborate procedural norms regarding content moderation. Transparency is thus understandably extended for these services to cover other aspects of such procedures, such as disputes using out-of-court dispute settlement (ODS) and mandatory suspensions. These obligations are complemented by separate reporting obligations of the ODS bodies (Article 21(4)), trusted flaggers (Article 22(3)), and potentially also state authorities.

Online platforms also have an enhanced reporting obligation concerning their monthly active users. This information should establish whether they are designated as very large. Although search engines have no other reporting obligations unless they qualify as one of the intermediary services, they do have an obligation to report their monthly users regardless of their size. This disclosure of active users must follow the methodology adopted by the European Commission through a delegated act. The disclosure must take place via the provider's dedicated online interface and updated every six months.³⁹ If requested by the DSC of establishment or the European Commission, the provider must provide the latest data at a point in between these periodic disclosures. They can also request further explanations regarding the exact underlying calculations.

Table 16.4 provides an overview of specific transparency reporting based on tiers.

The most far-reaching transparency requirement concerns the statement of reasons to the EU's central databases.⁴⁰ These statements must be first stripped of any personal data. As explained by Recital 66, 'in order to keep the database continuously updated, the providers of online platforms should submit, in a standard format, the decisions and statement of reasons without undue delay after taking a decision, to allow for real-time updates where technically possible and proportionate to the means of the online platform in question'. The volume of these individuals' statements is likely to be massive.

The challenge will be how to apply this reporting obligation in a way which does not discourage more nuanced forms of content moderations due to the compliance costs considerations of providers.⁴¹ Keller argues that '[h]ighly prescriptive transparency obligations might also drive de facto standardisation and homogeneity in platform rules, moderation practices, and features'.⁴² The concern about the cost of standardisation to

³⁹ At time of writing, we already see the first stages of such reporting playing out in February 2023 and August 2023, but at present, without guidance from the delegated act as it has yet to come into force. For the full discussion and examples of such disclosures, ch 9.

⁴⁰ DSA, art 17(5).

⁴¹ This point was raised by Daphne Keller, 'Some Humility About Transparency' (*The Center for Internet and Society – Stanford Law School*, 19 March 2021) <<https://cyberlaw.stanford.edu/blog/2021/03/some-humility-about-transparency>> accessed 6 September 2023.

⁴² See *ibid.*

Table 16.4 Platform transparency reports

	Content Moderation Activity	Mere Conduits	Caching	Mere Hosting	Online Platform	Search Engines
Platform transparency obligations (Article 24)	ODS (Art 24(1)(a))	Voluntary use and reporting			(1) absolute number of disputes, (2) their outcomes, (3) median time for completion, and (4) the share of implemented decisions	Voluntary use and reporting
	Mandatory suspensions (Art 24(1)(b))				(1) absolute numbers of mandated suspensions, categorised by: (2) the grounds (illegal content, manifestly unfounded notices, or manifestly unfounded complaints)	
	Monthly active users (Article 24(2))	Voluntary use and reporting			at least every six months: (1) average monthly active recipients of the service, categorised by: (2) each relevant service operated by the provider	
	Statement of reasons (Article 24(5))	Voluntary use and reporting			continuous submission of statements of reasons to the EU database	Voluntary use and reporting

innovative content moderation practices indeed should not be lost on regulators, as the potential trade-off between two pursuits—innovation and standardisation—is well established.⁴³ However, standardisation can equally act as a catalyst of innovation.⁴⁴ Standardisation does not only lock in suboptimal solutions, as was argued in the debate around QWERTY keyboards,⁴⁵ but can actually also encourage innovation through newly gained scale, such as standardised shipping containers.⁴⁶ There is no reason to believe that content moderation standardisation will be any different. That said, the innovation concerns should still be on the radar of the regulators to avoid lock-ins into content moderation practices of the past.

⁴³ Knut Blind, 'Standards and Innovation—What Does the Research Say?' (ISO 2022) ISO research and innovation papers <<https://www.iso.org/publication/PUB100466.html>> accessed 6 September 2023.

⁴⁴ For overview of the academic debate, Knut Blind, 'Standardisation as a Catalyst for Innovation' [2009] ERIM Report Series Reference No EIA-2009-LIS <<https://papers.ssrn.com/abstract=1527333>> accessed 6 September 2023.

⁴⁵ The QWERTY keyboard is a famous example of suboptimal solutions that lock in everyone. However, the situation seems a bit more complex, even from the innovation standpoint: Neil M Kay, 'Rerun the Tape of History and QWERTY Always Wins' (2013) 42(6) Research Policy 1175.

⁴⁶ Steve Saxon and Matt Stone, 'Container Shipping: The Next 50 Years' (McKinsey & Company, October 2017) <www.mckinsey.com/~/media/mckinsey/industries/travel%20logistics%20and%20infrastructure/our%20insights/how%20container%20shipping%20could%20reinvent%20itself%20for%20the%20digital%20age/container-shipping-the-next-50-years-103017.pdf> accessed 6 September 2023.

16.3.3 VLOPs' and VLOSEs' content moderation reports (Article 42)

VLOPs and VLOSEs have enhanced obligations to issue content moderation annual reports in one of the official languages of the EU. They must be issued more frequently (at least every six months) and be more elaborate when setting out:

- content moderation staff dedicated to each relevant official EU language;
- qualification and linguistic expertise of content moderation staff;
- accuracy of automated tools for each relevant official EU language; and
- average monthly recipients of the service for each EU Member State.

The content moderation staff must only include numbers about those members whose work is relevant for the EU single market. Thus, employees or contract staff in Asia or the Americas are irrelevant. Information about the staff must also be reported 'in respect of the service offered' (Article 42(2)(a)). This means that each regulated service must be subject to a specific report. Thus, information about the content moderation staff of an app store can be copied and reported for a video-sharing service if the same staff worked on both services.

Article 42(2)(a) also implies that the breakdown should specifically reveal what resources are dedicated to internal complaint mechanisms, and enhanced support for trusted flaggers.

The breakdown per the relevant official EU language is meant to unveil structural differences between how platforms allocate their resources. The providers must report their average monthly users per the Member State individually. At the time of writing, it is impossible to find out how many content moderators even bigger services employ for each language in which they operate. This is reinforced by the requirement that such numbers are accompanied by a qualitative description of their training and linguistic expertise.

The reported information is an indication that helps to understand the attention given by providers to individual societies within the EU and its corresponding effect. After the DSA, they can be contrasted with the reported amount of advertising and content moderation decisions related to individual countries to unveil interesting connections and correlations. Indeed one of Frances Haugen's important revelations about Facebook concerned how providers under-invest in some countries, even though they have a substantial presence in them.⁴⁷ These revelations informed policymaking.

Furthermore, automated tools must be specifically tested for their accuracy in each language. This obligation is particularly important as the training of technologies often

⁴⁷ Rebecca Staudenmaier, 'Whistleblower: Facebook stirs global conflicts' *DW News* (Berlin, 6 November 2021) <<https://www.dw.com/en/facebook-whistleblower-warns-company-is-neglecting-languages-other-than-english/a-59739260>> accessed 6 September 2023.

takes places in the cultural and linguistic context of some larger countries, and thus potentially neglects the effects of the tools on smaller countries when scaled up to serve the same needs.

Finally, VLOPs and VLOSEs must publish their audit documentation (Article 42(4)). This includes the following documents:

- self-assessment regarding the results of the risk assessment;
- report outlining the specific risk mitigation measures;
- audit reports by auditors;
- follow-up audit implementation report;
- any consultations held to support risk assessment or risk mitigation.

The providers are allowed to redact confidential information. The latter can only be redacted if it is likely to ‘cause significant vulnerabilities for the security of its service, undermine public security or harm recipients’ (Article 42(4)). Any such redaction must be accompanied by a public statement explaining why such information is omitted. Unredacted reports must be sent to the European Commission and the DSC of the establishment.

16.3.4 Transparency of other actors

Content moderation and advertising concerns are not limited to behaviour of providers of digital services. Content moderation activities are shaped by content creators, notifiers of content, such as victims, NGOs or enforcement agencies, and authorities which issue relevant orders. Ills of the advertising ecosystem are also shaped by advertisers and their agencies. The DSA places some transparency obligations on these other actors.

Trusted flaggers (Article 22) are given a privileged position among notifiers. Their notices carry more weight because they ought to represent notifications that are well-considered. Although trusted flaggers are subject to certification by regulators, in order to shine some light on their performance, the DSA obliges them to publish annual transparency reports. The reports cover only illegal content.

The mandated reports must be ‘comprehensive and detailed’ and include information about the absolute number of notices with a breakdown according to providers, type of illegal content, and the follow-up action taken. They must also detail how the trusted flagger retains its independence from any provider. While the text does not mandate reporting for each service, to facilitate general comprehension of the reports, they should not make only general statements about the number of notices sent to large companies that operate hundreds of different services but distinguish between individual services. In addition to Article 22(3), whenever a trusted flagger is operated by a public entity, such as Europol, the applicable freedom of access legislation can offer additional data points to scrutinise its practices.

Publication of reports about notices concerning content that ‘only’ violates terms and conditions is not mandated. They can be, however, introduced by the relevant Codes of Conduct.

Despite the importance of the *ODS bodies* (Article 21) in the DSA, their transparency is arguably underdeveloped. The ODS bodies do not have to publish public annual reports or their individual decisions. They only have to annually report to the DSC who certified them, specifying an absolute number of disputes received, broken down by the outcomes, and the average time for a dispute handling. They should also report any shortcomings that they have encountered. The relevant DSCs then must issue biannual reports summarising the data for all certified ODS bodies, including best practices and recommendations for how to improve the system.

Given the limited reporting obligations, one of the possible improvements surely can be the transparency of the ODS bodies, specifically the process of reporting decisions and publication of reports concerning their own activities. The DSCs can arguably require increased transparency as part of fair procedural rules. As explained in Chapter 11.5, the DSCs are tasked with certifying and supervising such bodies across the EU.

Finally, the DSA does not explicitly deal with the question of transparency by *public authorities*.⁴⁸ However, if such authorities operate as trusted flaggers, they have obligations under Article 22(3). If they issue orders, they might have obligations based on national or European law, such as Article 8 TCR. If authorities send simple notifications and thus are not acting as trusted flaggers, the only possible sources of transparency are national freedom of information laws or annual activity reports.

16.4 Conclusion

The DSA creates a set of default safeguards applicable to most of the situations of delegated enforcement. By putting gatekeepers of digital services under scrutiny, it will help to reveal the extent of content moderation undertaken and some aspects of its quality. However, as much as the conventional method of annual transparency reporting serves its purpose, it ultimately only acts as a rear mirror to what has already happened. Therefore, the DSA has supplemented it with an exciting new measure: the involvement of researchers in transparency endeavours. Indeed, if we wish to better examine what is happening now in the digital ecosystem, and potentially what will happen in the future, data access by researchers presents a novel way forward. Here, too, the DSA institutionalises data access as a general safeguard that can step in to provide a look at the actions of regulators and companies alike. Because the researchers’ mandate is

⁴⁸ For instance, Europol’s pre-DSA reports: European Union Agency for Law Enforcement Cooperation., *EU Internet Referral Unit Transparency Report 2021: Terrorist Propaganda Monitoring and Analysis, Referrals, and Public Private Partnerships*. (EU Publications Office 2022) <<https://data.europa.eu/doi/10.2813/341047>> accessed 6 September 2023.

worded very broadly, the sky is the limit for its potential application. This access can put even some of the most controversial policies of the EU, such as Article 17 CDSM Directive, on a corrective course even after they were already adopted. However, for this to happen, there will be numerous practical obstacles to access that first have to be cleared.